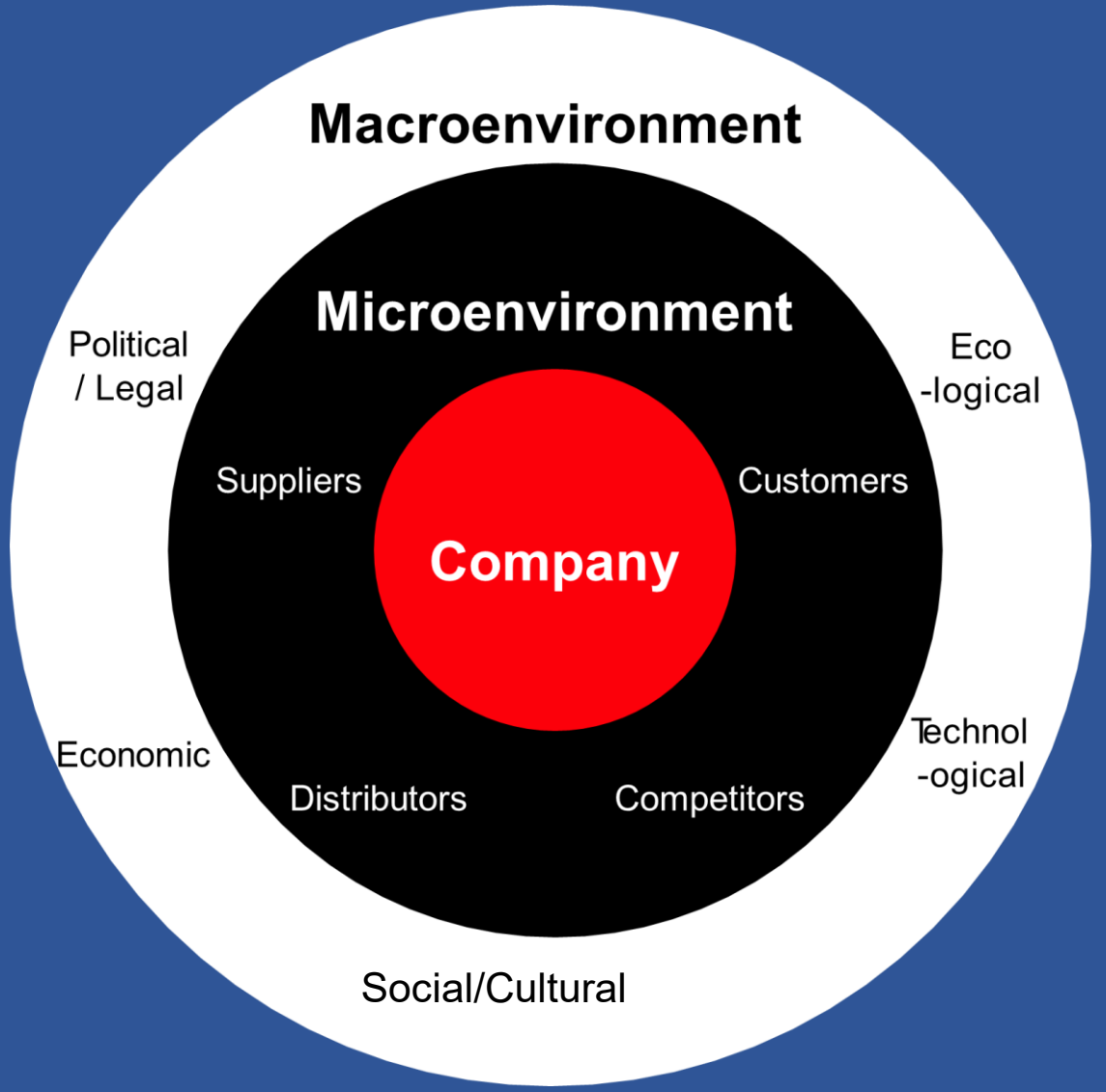
# 2.

# MARKETING ENVIRONMENT IN THE DIGITAL AGE




Dr. Carmen Lopez

# Module Structure

| Week No. | Lecture Topic |
|---|---|
| 1 | Introduction: Traditional Marketing vs Digital Marketing |
| 2 | Marketing Environment in the Digital Age |
| 3 | Segmentation, Targeting, and Positioning in the Digital Age |
| 4 | Customer Engagement and Social Media |
| 5 | Content Marketing and Influencer Marketing |
| 6 | Consumer Behaviour and Customer Insight in the Digital Age |
| 7 | Search Marketing and Online Advertising |
| 8 | Email Marketing and Digital Customer Relationship Management |
| 9 | Online PR and Crisis Management |
| 10 | Marketing Research in the Digital Age |
| 11 | Ethics & The Future of Digital Marketing |
| 12 | Discussion Forum. Assignment Q&A |

# Why is this lecture relevant?




**Structure for the assignment:**

**Title page**

**Introduction**

A brief introduction to Popcorn Kitchen and the relevant UK industry.

(Roughly 300 words)

**Digital challenges and opportunities**

Overview of two key challenges and two key opportunities that Popcorn Kitchen faces in the digital age.

(Roughly 400 words)

**Target market & Customer persona profile**

Identify and justify the segment to target (e.g., demographics, behaviours, attitudes, motivations, brands, etc.). Based on this segment, create a persona profile (visual format) for Popcorn Kitchen in the UK. The persona profile should reflect an existing segment and be based on research. Justify your choices.

(Roughly 500 words)

**Customer engagement: Conceptualisation and evaluation of strategies**

Define customer engagement and its dimensions. Considering the customer persona, evaluate Popcorn Kitchen's digital marketing strategies (e.g., content development strategy, customer experience strategy, social media strategies, etc.) used in the UK to engage with customers in light of the digital customer literature. Practical observations and examples of Popcorn Kitchen's customer engagement should be used to justify the arguments.

(Roughly 1200 words)

**Recommendations**

Considering the existing literature/theories, and the customer engagement strategies discussed in the previous section, suggest recommendations for the business to enhance customer engagement. Recommendations should be realistic and suitable for implementation over the next 6-12 months and should reflect informed judgement rather than a descriptive list of digital tools or tactics. Be creative and justify your recommendations.

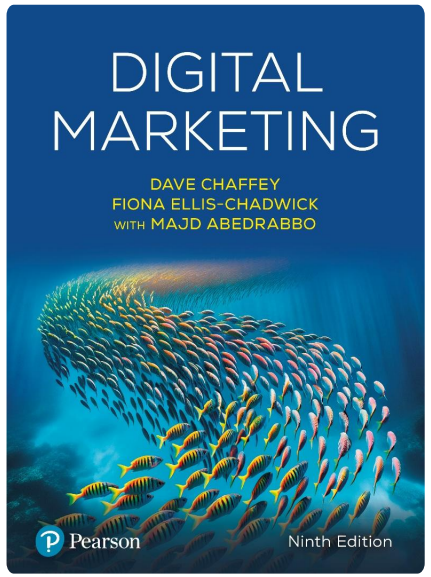
(Roughly 600 words)

**References**

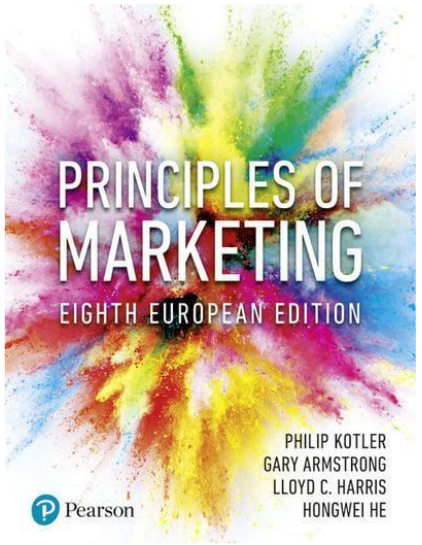
**Appendix**

# Recommended Reading

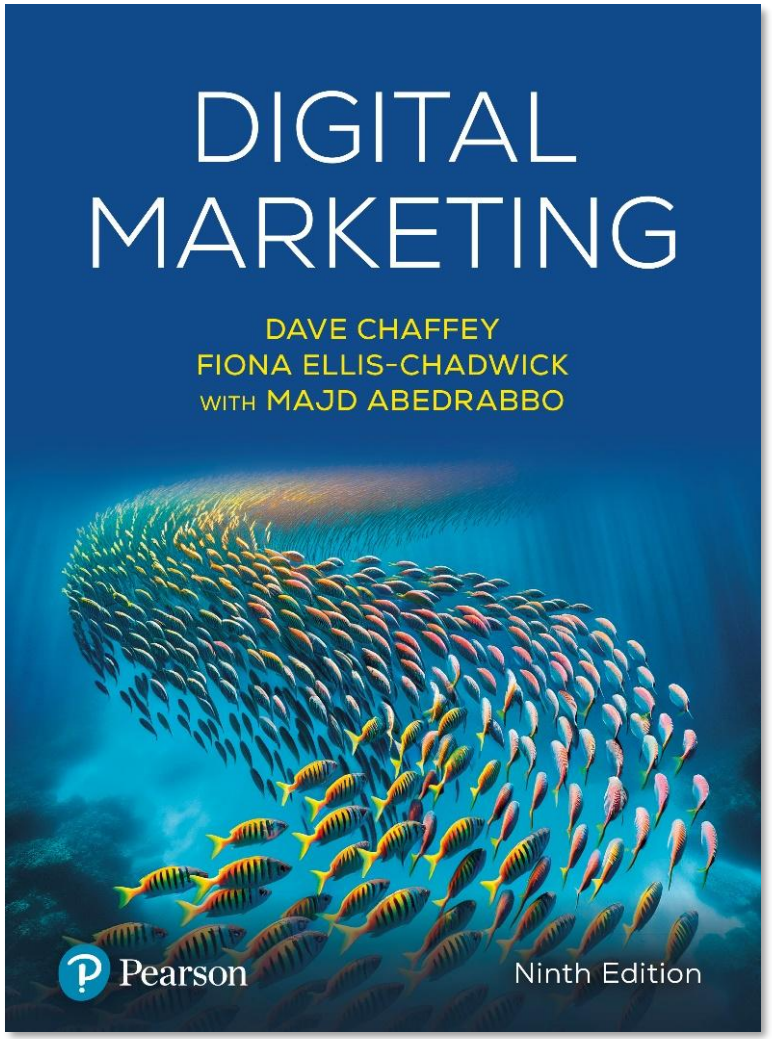
## Chapter 2

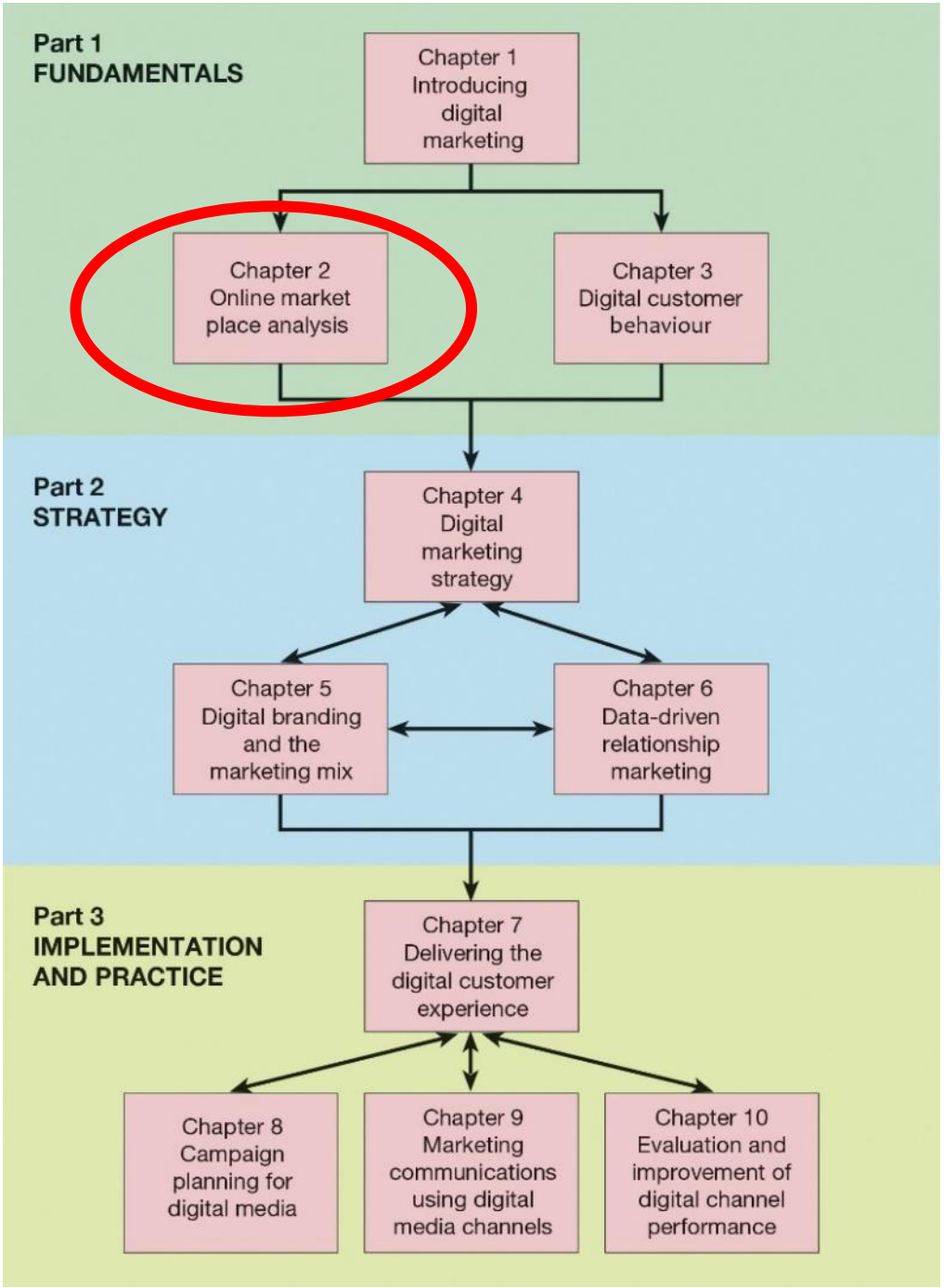



## Chapter 3



# Structure of the textbook



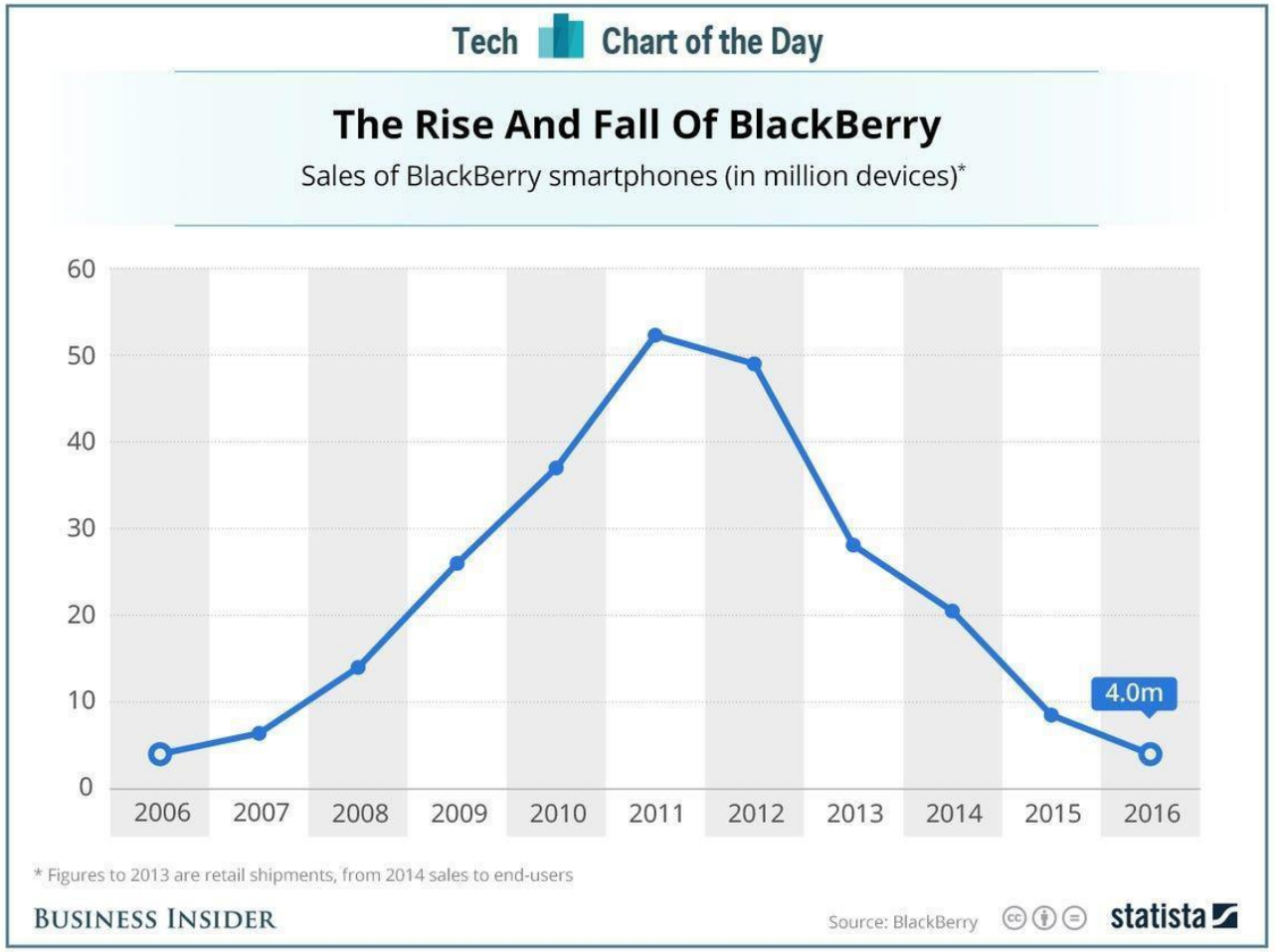



# Agenda

- Components of situation analysis
- Marketing environment:
  - Micro-environment
  - Macro-environment
- Evolution of the digital age

# Remember the Blackberry — What Happened?




https://www.businessinsider.com/blackberry-smartphone-rise-fall-mobile-failure-innovate-2019-11?r=US&IR=T


change
people
start
like
everyone
best
changes
making
budgets
get
made
anything
benefits
move
work
Making
make
look
expect
another
seat
something
Changes
communications
progress
know
reason
better
gets
organisational
process
times
manager
someone
need
time
line
got
moved
Survival
Grint
reasons
Deming
reaction
consultation
refuses
talk
involve
nearer
programmes
background
ask
managing
product
coming
successful
moment
programme
believe
following
briefed
wish
sitting
new
descriptions
consequence
please
chicken
communication
Kearney
think
Take
options
require
grapevine
targets/KPIs
you/your
sometimes
next
keep
department/your
organisation
regards
letting
crossing
legislation
business
technology
impact
anyone
comfortably
clue
saboteurs
clandestine
sales
allowed
See
want
achieve
fully
information
Change
angry
saying
market
fingers
informed
sit
may
probably
supposed
consult
see
Maybe
worrying
blog
Little
room
division
mandatory
considered
decided
give
simple
headless
story
mill
respond
timescale
hope
regularly
blaming
systems
place
Try
moaning
going
a-changing
structure
many
etc
knew
communicate
processes
repeat
request
Read
way
become



# Fashion changes…






Technology moves forward…


2007 TO 2026

***“It is not the marketing environment itself that is important but the firm’s ability to cope with it.”***

Bradley (1999)

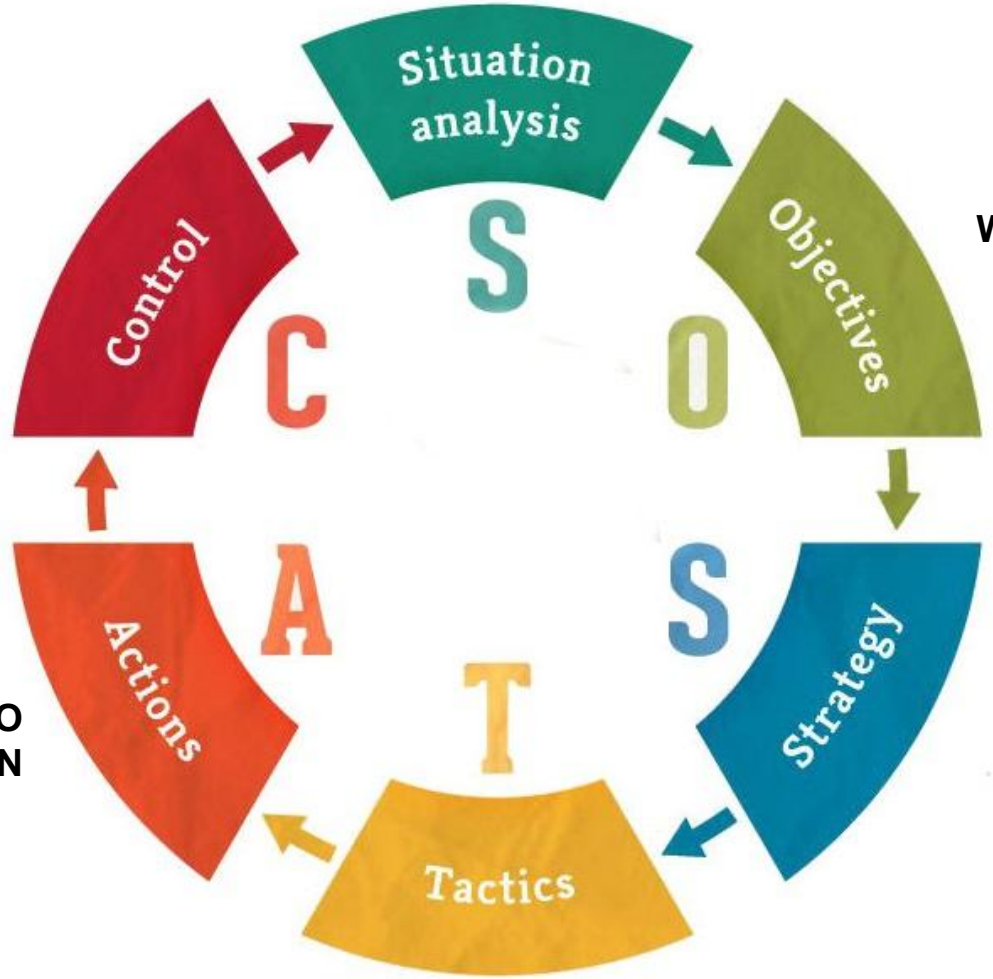
# SOSTAC Planning Framework

# SOSTAC Planning Framework

WHERE ARE WE NOW?

HOW DO WE MONITOR PERFORMANCE

WHERE DO WE WANT TO BE?




DETAILS OF TACTICS: WHO DOES WHAT AND WHEN

HOW DO WE GET THERE?

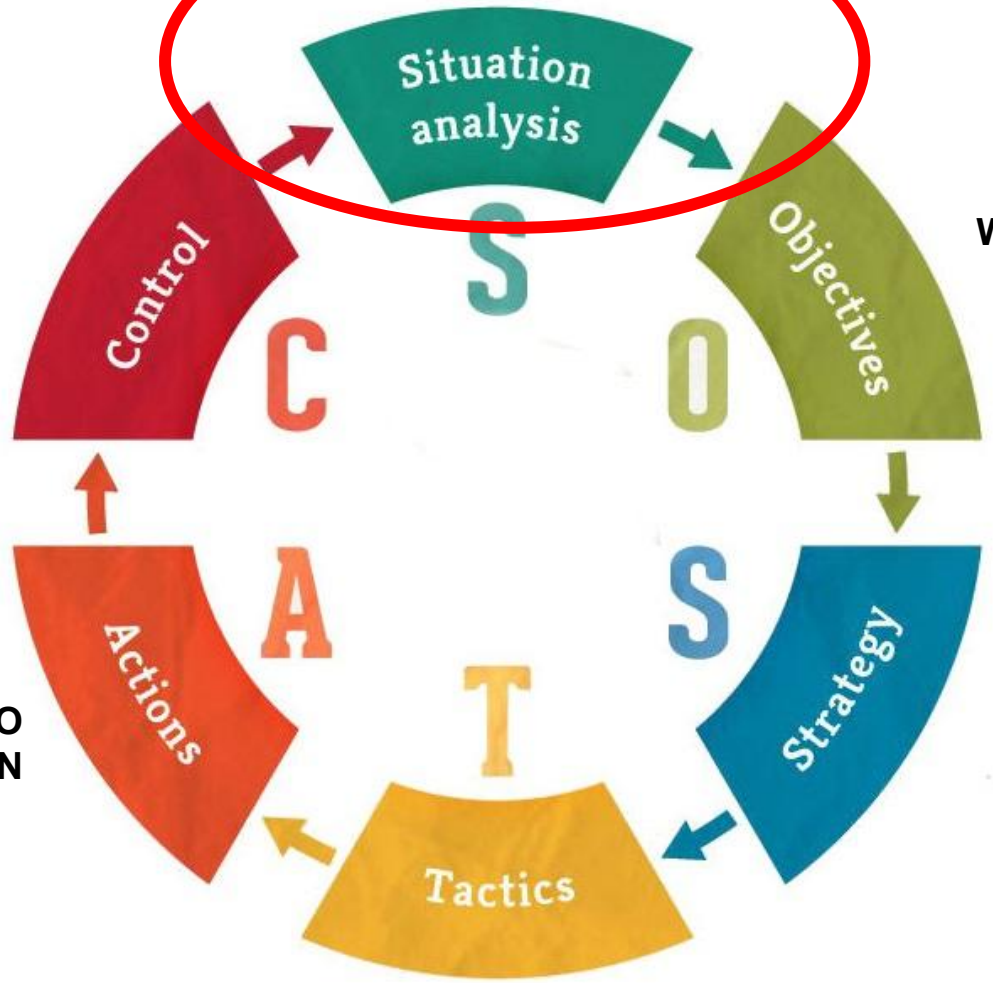
HOW EXACTLY DO WE GET THERE?

# SOSTAC Planning Framework

WHERE ARE WE NOW?

HOW DO WE MONITOR PERFORMANCE

WHERE DO WE WANT TO BE?




DETAILS OF TACTICS: WHO DOES WHAT AND WHEN

HOW DO WE GET THERE?

HOW EXACTLY DO WE GET THERE?

# Situation Analysis

# Situation analysis – Definition

Situation analysis - collection and review of information about an organisation's external environment and internal resources and processes in order to refine its strategy.

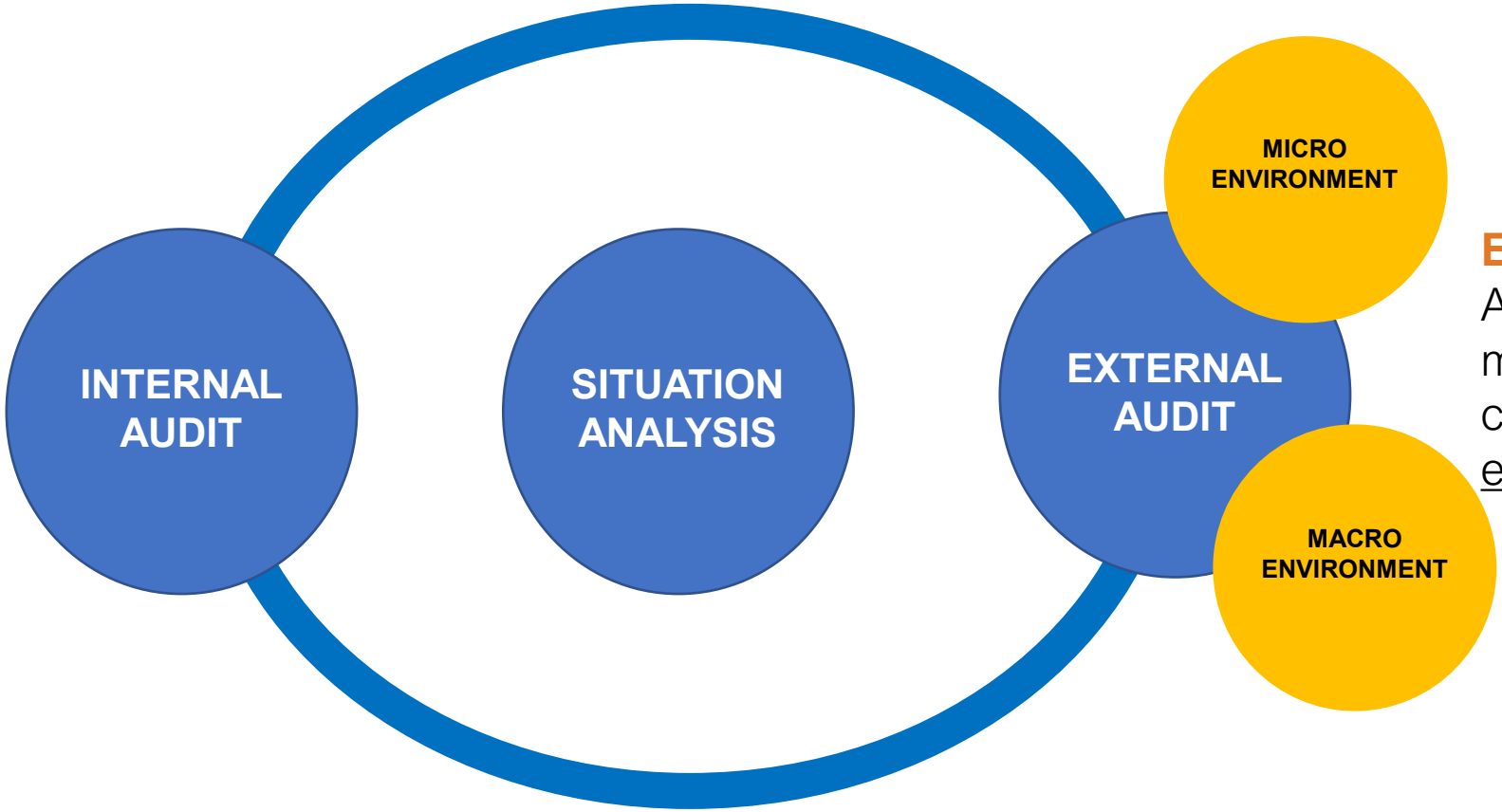
Chaffey et al. (2025)

# Situation analysis – Components

The marketing audit is a systematic examination of a company's internal and external environment

**INTERNAL AUDIT** - Areas that are under the control of the marketing management:

- ✓ Operating results
- ✓ Strategic issues
- ✓ Core competences



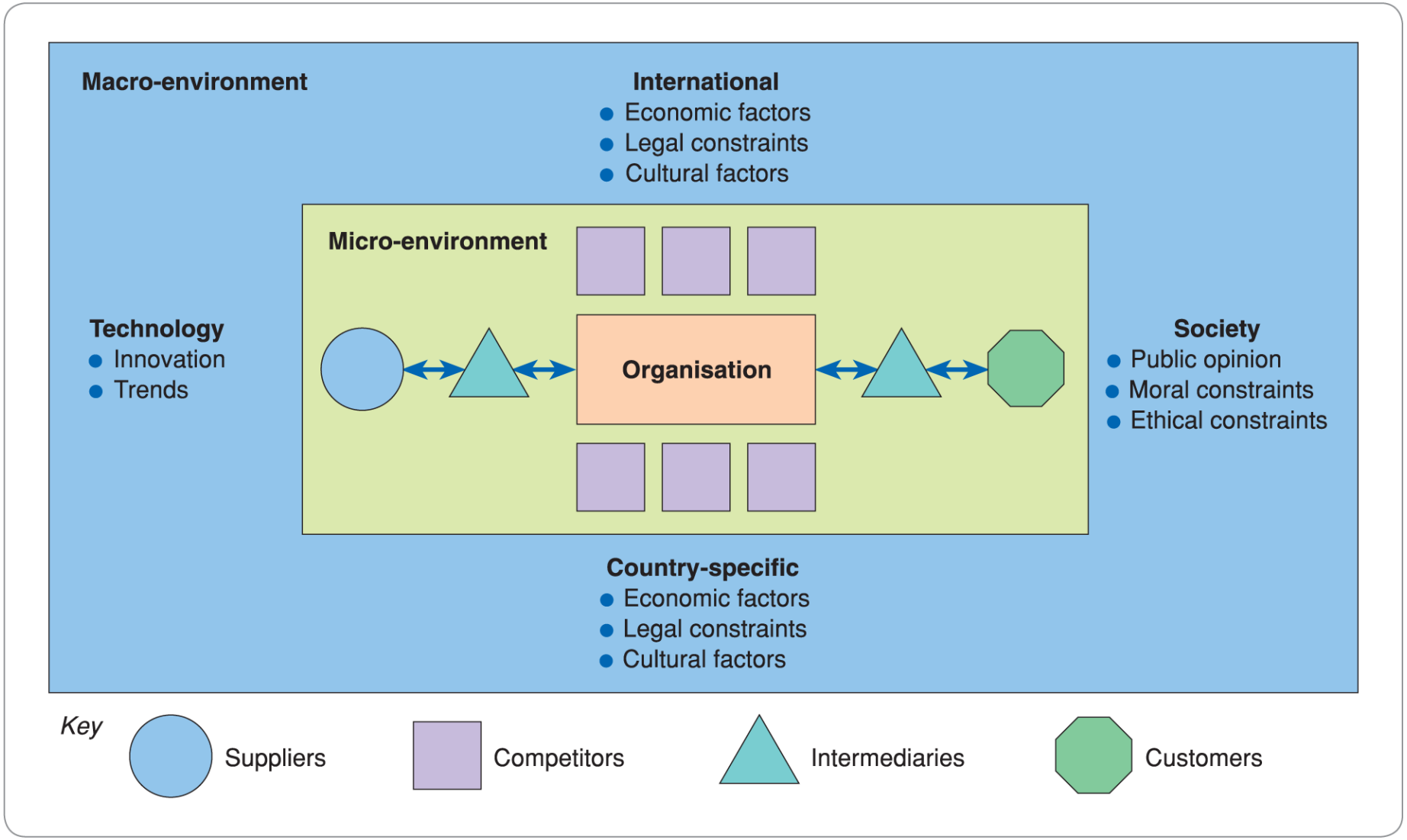

**EXTERNAL AUDIT** - Areas under which management has no control – External environment

Source: Jobber and Ellis-Chadwick (2020)

# Situation analysis - External audit

**MICROENVIRONMENT**- Actors in the firm's immediate environment that affect its capabilities to operate effectively in its chosen markets

**MACROENVIRONMENT**- Broad environmental forces that affect the company's performance and are largely uncontrollable

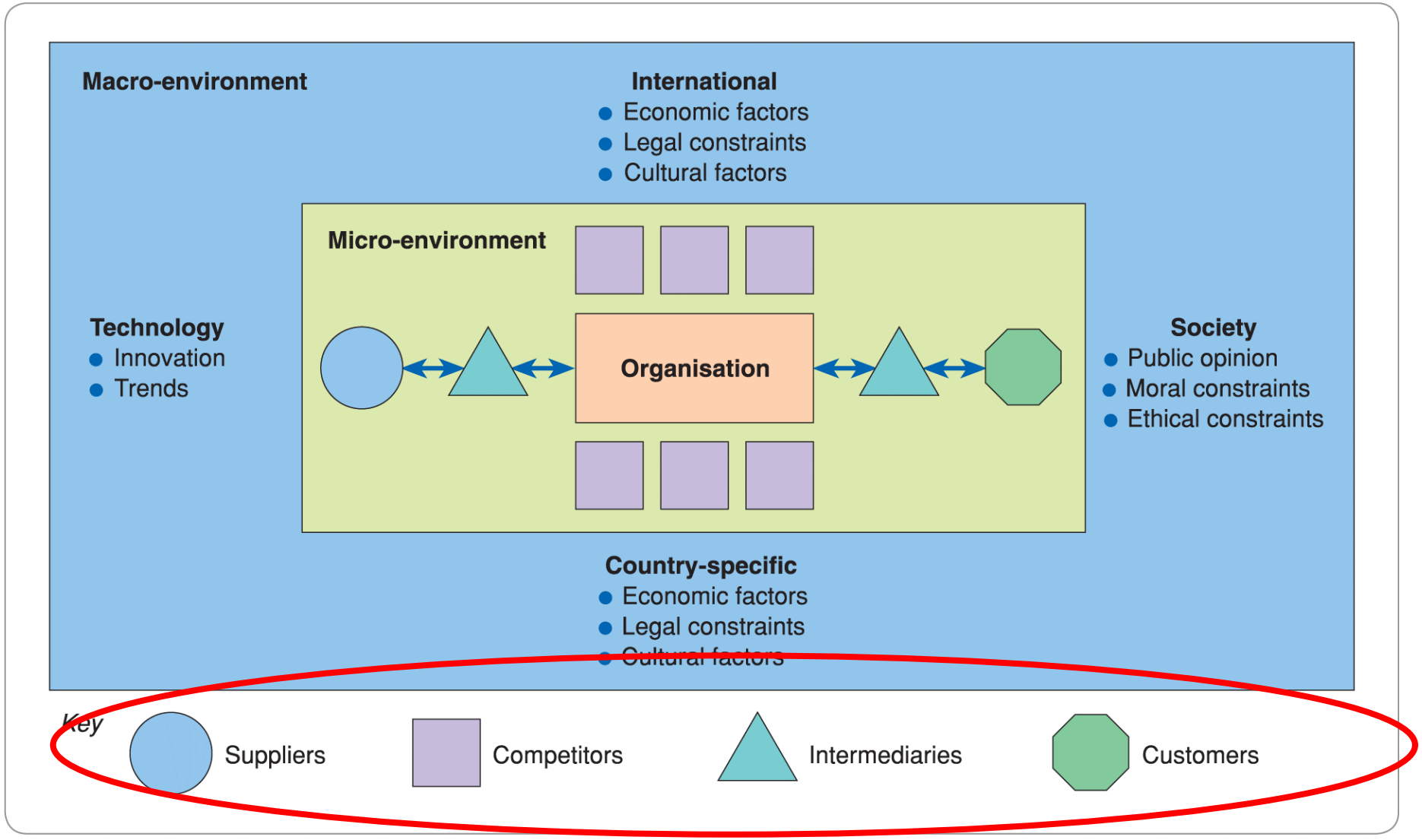



Source: Jobber and Ellis-Chadwick (2020); Chaffey et al. (2025, p. 51)

# Microenvironment

# Microenvironment

**MICROENVIRONMENT**- Actors in the firm's immediate environment that affect its capabilities to operate effectively in its chosen markets




Source: Jobber and Ellis-Chadwick (2020); Chaffey et al. (2025, p. 51)

# Microenvironmental forces - Issues to consider

| Microenvironment | Issues |
|---|---|
| **Customers** | • Access to digital platforms<br>• Levels of use of digital platforms and services<br>• Behaviour as they seek and buy products and services, influences they respond to, and their characteristics<br>• Service expectations, satisfaction ratings and advocacy |
| **Suppliers and intermediaries** | • Level of technology adoption<br>• Integration and connectedness<br>• Service provision<br>• Trading relationship |
| **Competitors** | • Strategic intentions and planning<br>• Communications and promotional techniques used<br>• Resources and capabilities<br>• Levels of service provision<br>• Supplier and intermediary relationships<br>• Performance |

Source: Chaffey et al. (2025)

# Intermediaries

## DIGITAL MARKETING INTERMEDIARIES

Firms that help the company to **promote**, **sell** and **distribute** its products or services.

- Publisher or media sites
- Comparison sites
- Search engines
- Social networks
- Blogs

GoCompare



Google

Yahoo

Bing

Yandex

DuckDuckGo

Baidu 百度

The Economist

Source: Chaffey et al. (2025)

# Competitor analysis and benchmarking

**COMPETITOR ANALYSIS:** Who the major competitors (actual and potential) are, their objectives and strategies, strengths and weaknesses, size, entry barriers to new competitors, use of digital marketing.



**COMPETITOR BENCHMARKING:** Involves comparing the company online services, capabilities and performance against a number of competitors using a set of metrics (e.g., customer acquisition, conversion, retention) to identify threats and opportunities

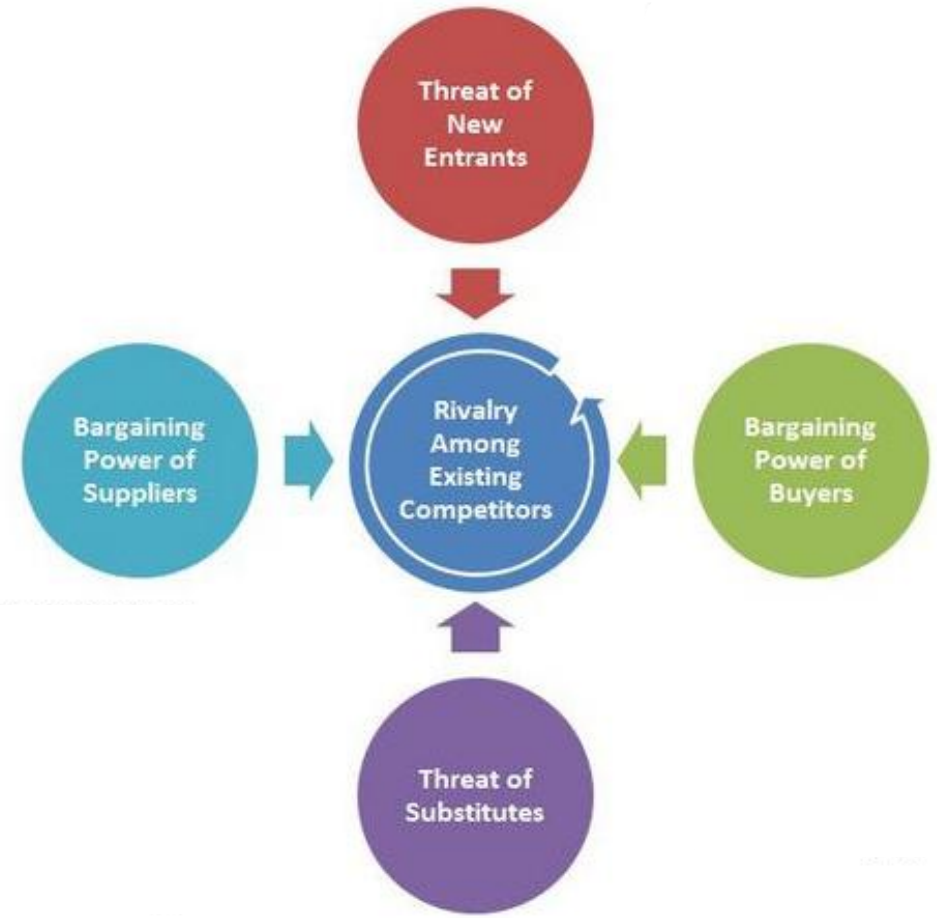
Examples of marketing activities that can be benchmarked:

- Website – unique visitors by digital channel
- Search marketing – keywords, cost-per-click
- Customer journeys
- E-mail communications
- Pricing

See Chaffey et al. (2025, pp. 64-65)

Source: Jobber and Ellis-Chadwick (2020); Chaffey and Ellis-Chadwick (2025)

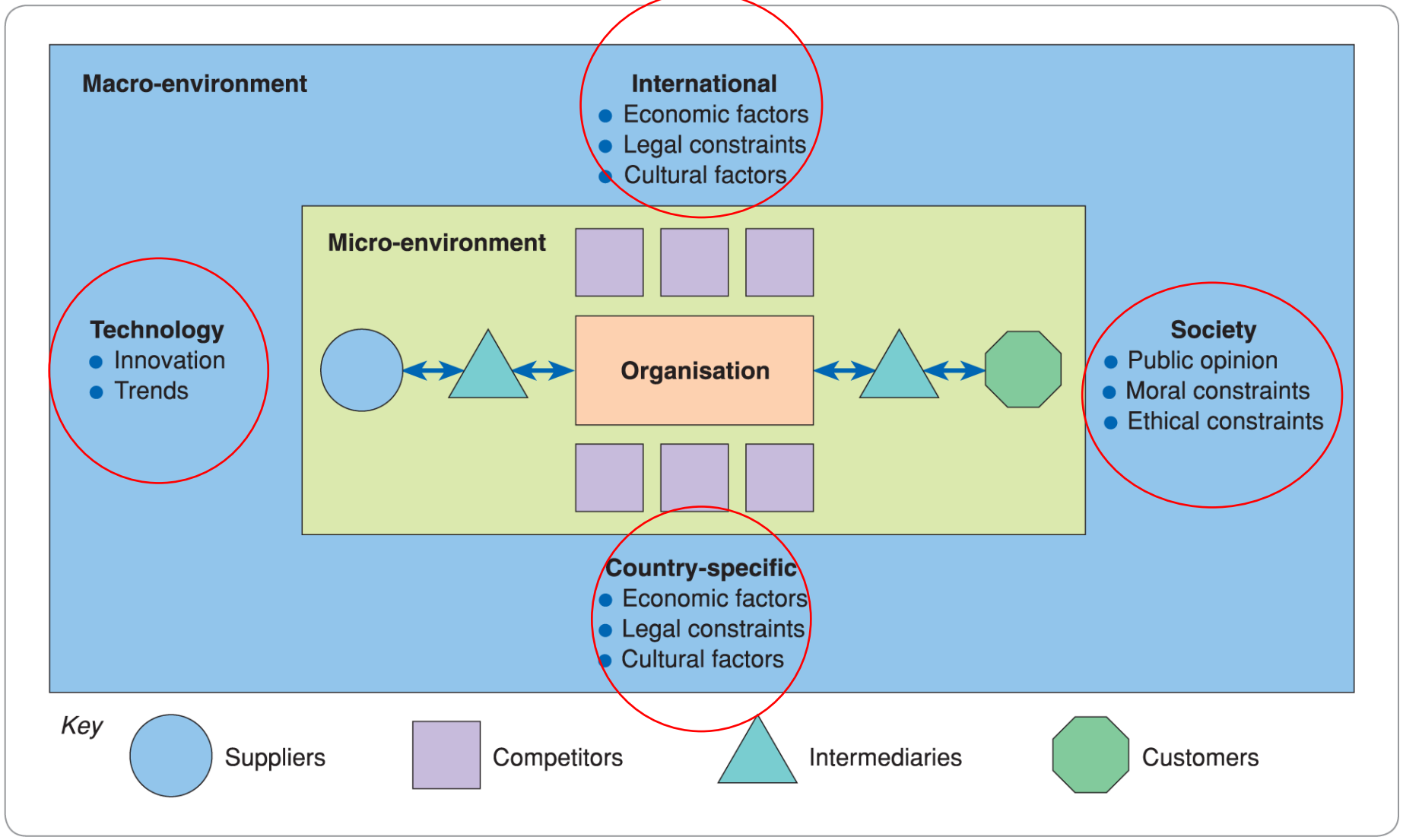
# Porter’s Five Forces



# Macroenvironment

# Macroenvironment

**MACROENVIRONMENT**- Broad environmental forces (outside the company) that affect the company's performance and are largely uncontrollable




Source: Jobber and Ellis-Chadwick (2020); Chaffey et al. (2025, p. 51)

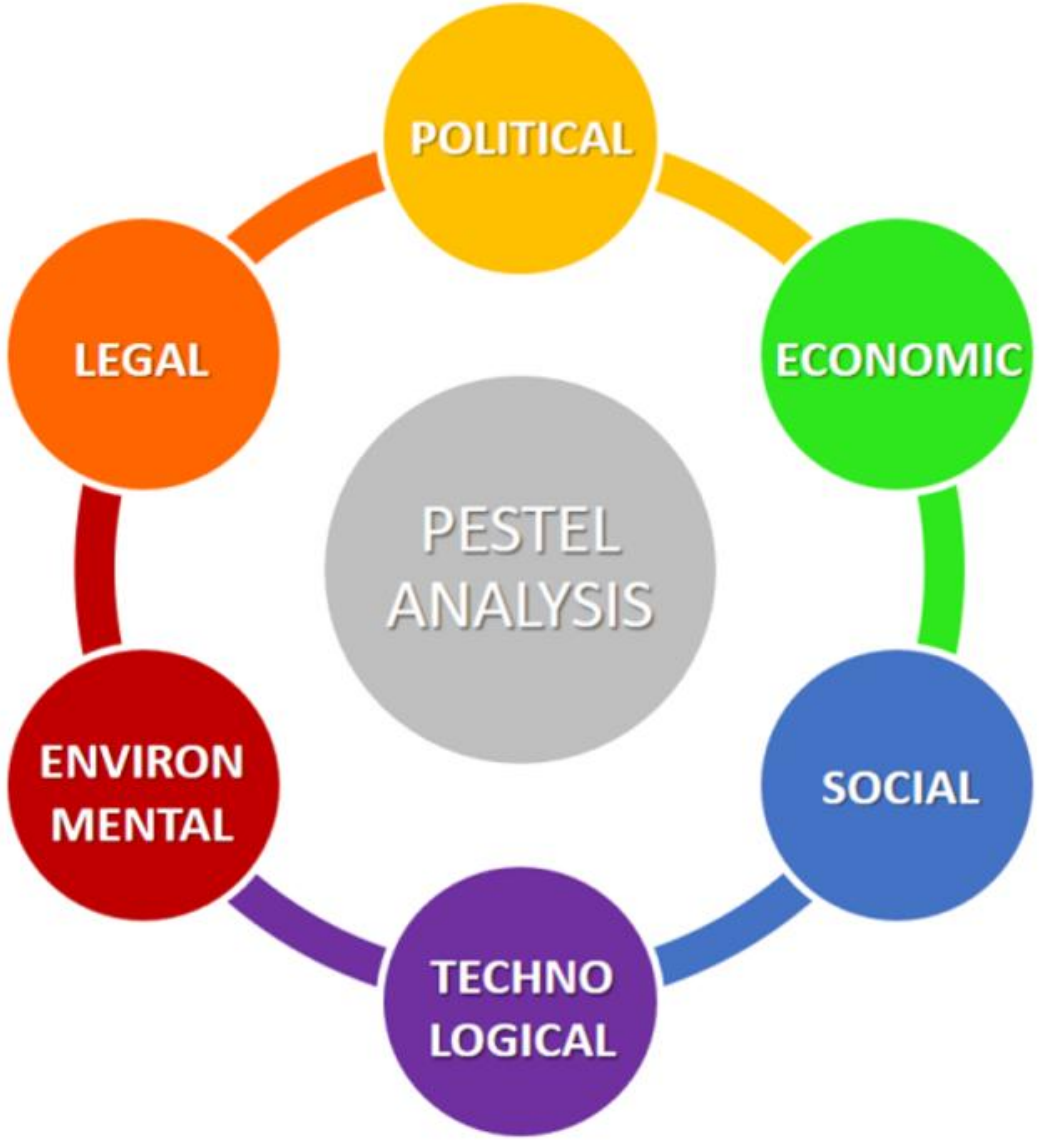
# Why to analyse the macroenvironment

"The main reasons for keeping track of changes in the macro-environment are to be aware of how changes in social behaviour, new laws and technological innovation can create opportunities or threats. Organisations that monitor and respond effectively to their macro-environment can create **differentiation** and **competitive advantages** which enable the business to survive and prosper."

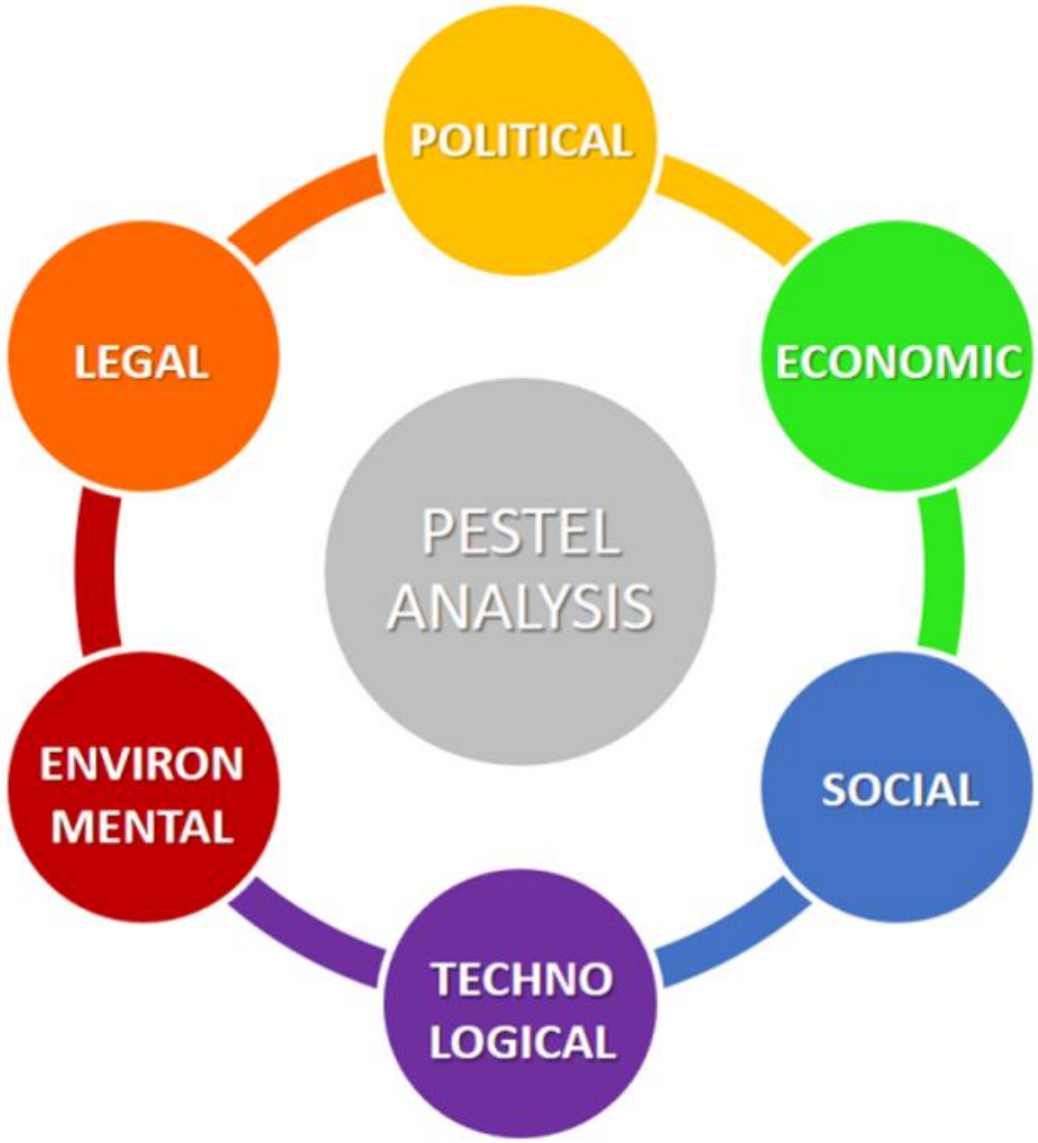
Chaffey and Ellis-Chadwick (2020, p. 93)

# Macroenvironmental forces – PESTLE analysis

- Political forces
- Economic forces
- Social forces
- Technological forces
- Legal forces
- Environmental forces



# Macroenvironmental forces – PESTLE analysis



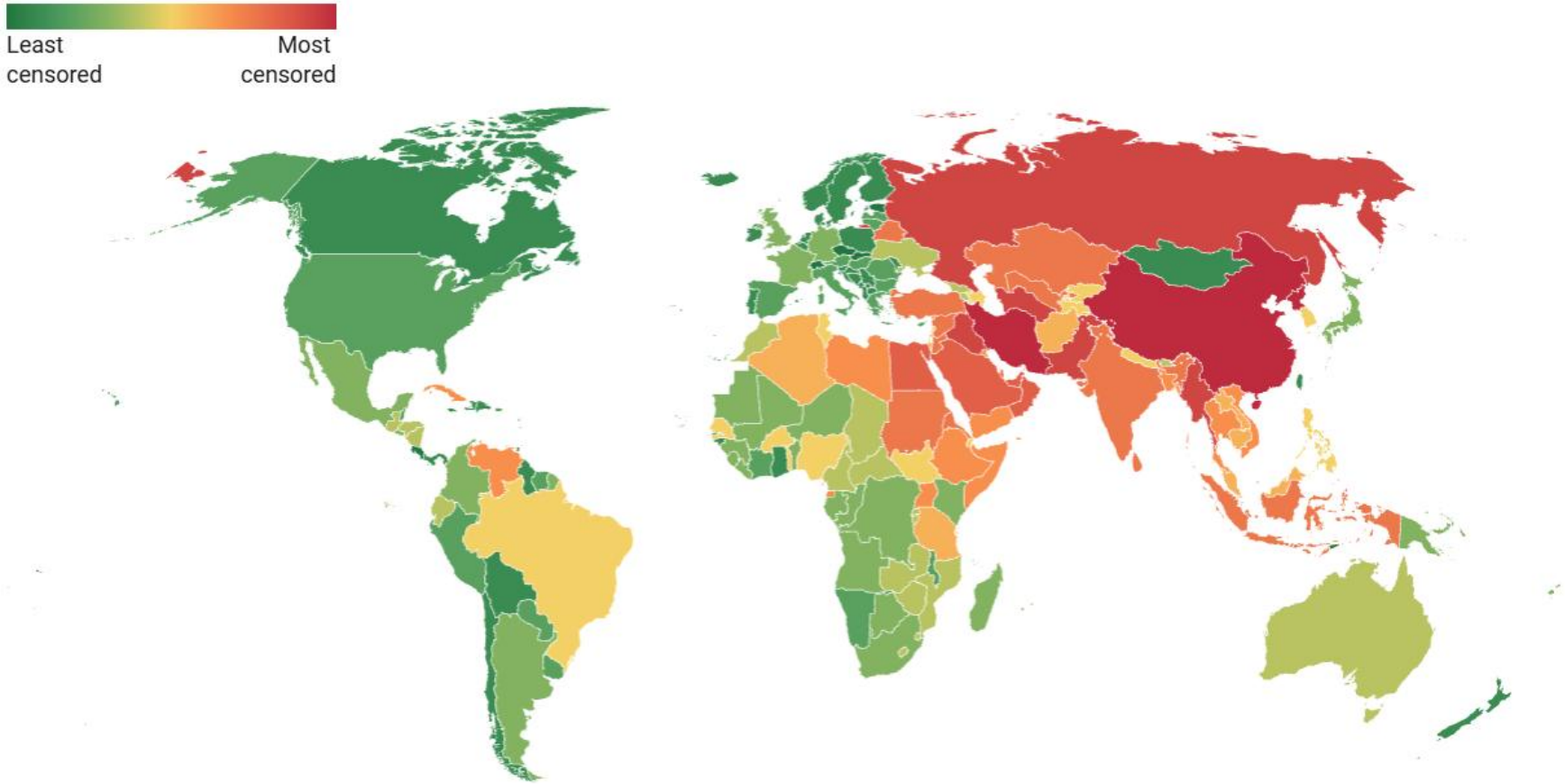

PESTLE analysis is used to identify opportunities and threats to a business

# Political forces

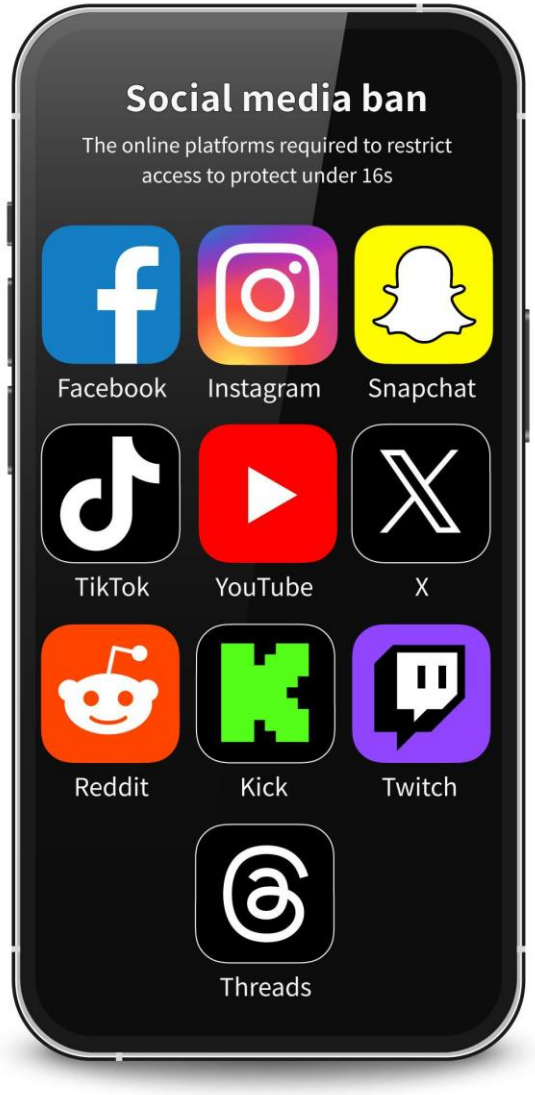
**POLITICAL FORCES**

National governments and transnational organisations have an important role in determining the future adoption and control of the Internet and the rules by which it is governed.

## Internet censorship 2026

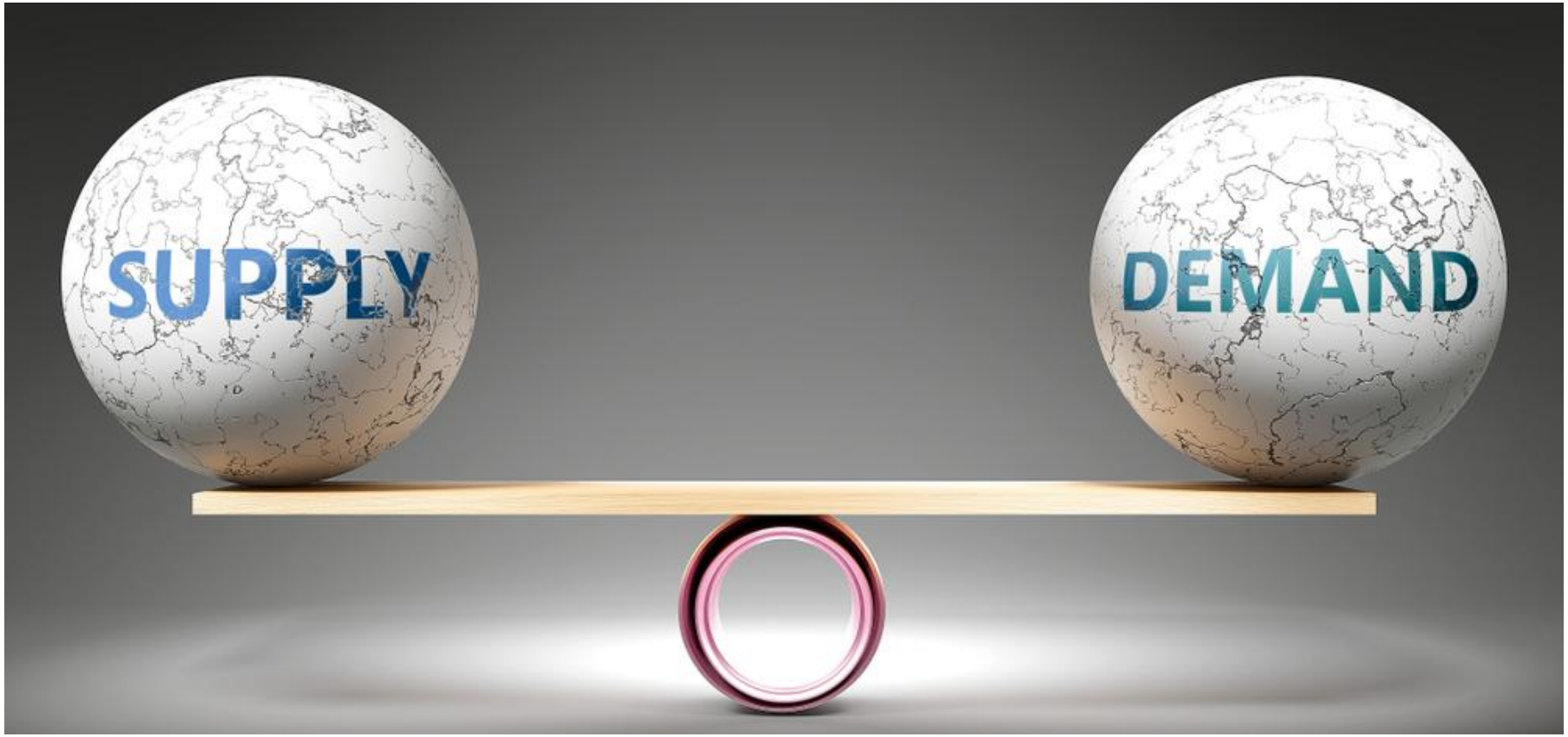



Source: Chaffey et al. (2025); Comparitech (2026)


Social media ban
The online platforms required to restrict access to protect under 16s
Facebook
Instagram
Snapchat
TikTok
YouTube
X
Reddit
Kick
Twitch
Threads

# Economic forces

**ECONOMIC FORCES**
Economic conditions that affect trading opportunities, consumer spending, business performance and have implications for digital marketing planning.

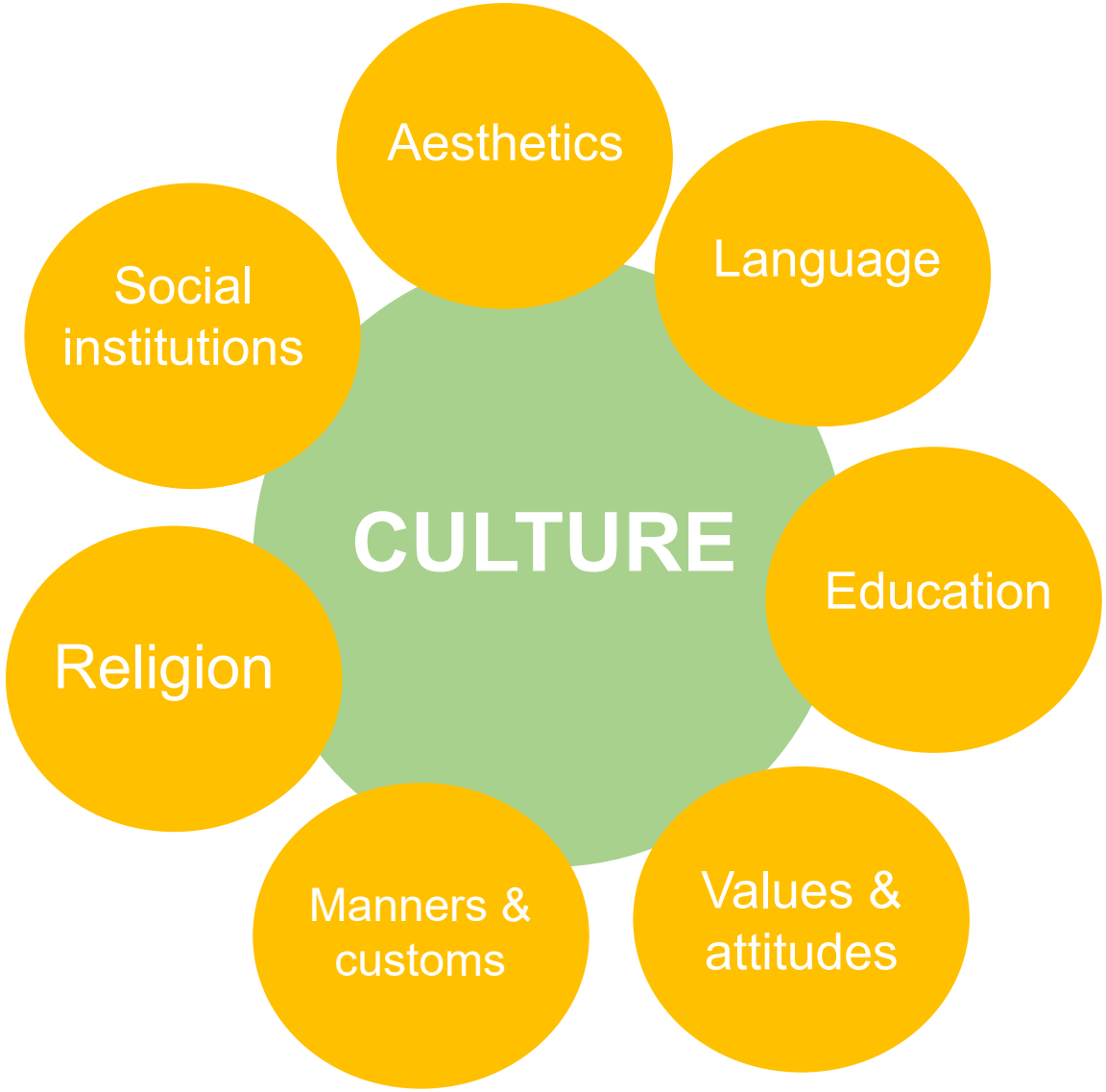



Source: Chaffey et al. (2025);

# Social/cultural forces

**SOCIAL/CULTURAL FORCES**

Cultural diversity among digital communities influences the use of digital development, devices and platforms and the services business provide online




Source: Chaffey et al. (2025); Hollensen (2025)

# Social/cultural forces

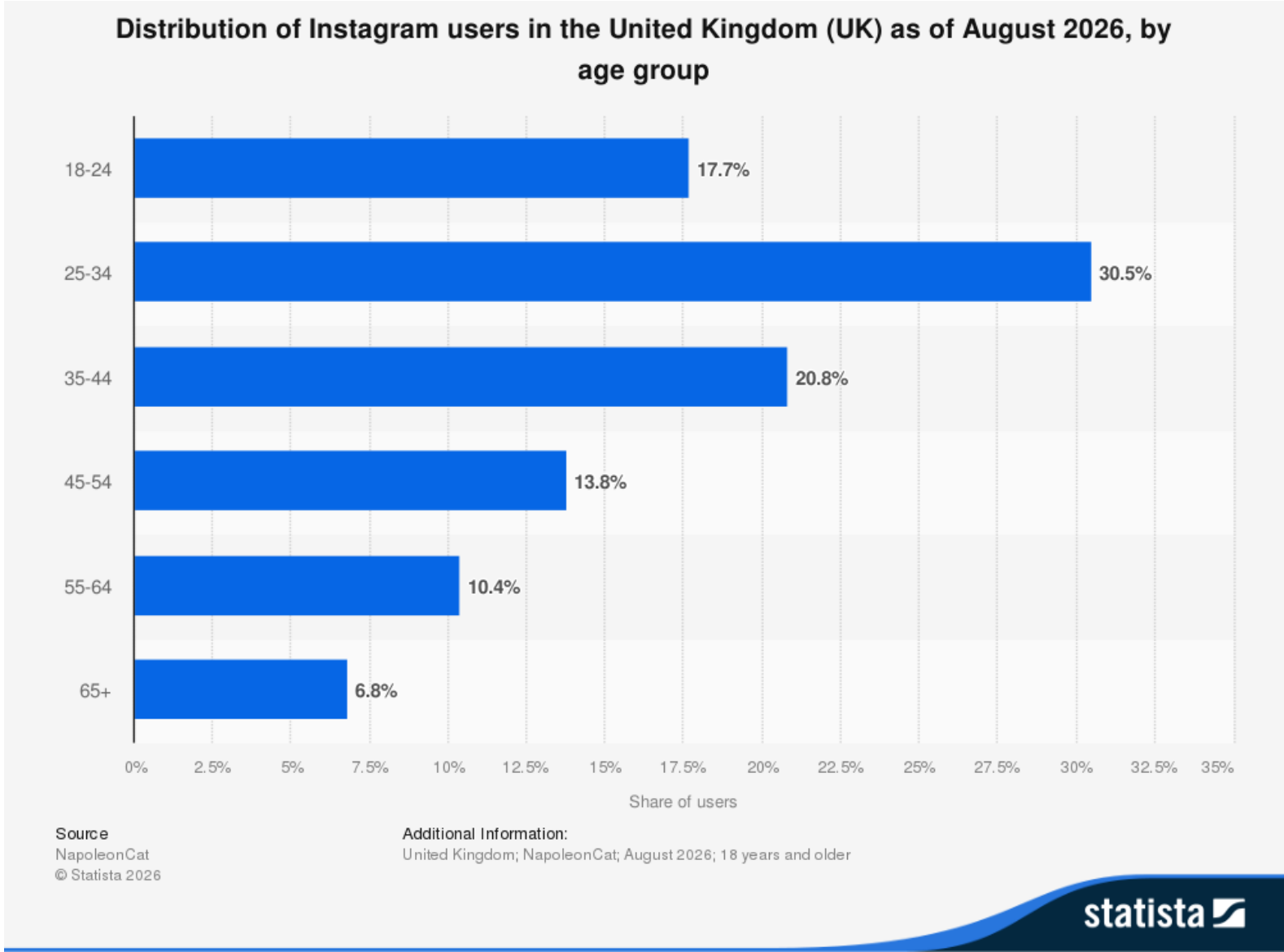
Cultural elements can affect the use of social media platforms, adoption of livestream shopping, what goes viral, etc.




Forbes (2025)

# Social/cultural forces

- ✓ Changes in world population
- ✓ Demographic profile (age distribution and household structure)
- ✓ Attitudes, values, and lifestyle changes
- ✓ Cultural diversity
- ✓ Emerging social shifts
- ✓ Social barriers to internet adoption → social exclusion (lack of skills, cost)




Source: Chaffey et al. (2025); Statista (2025)

# Technological forces

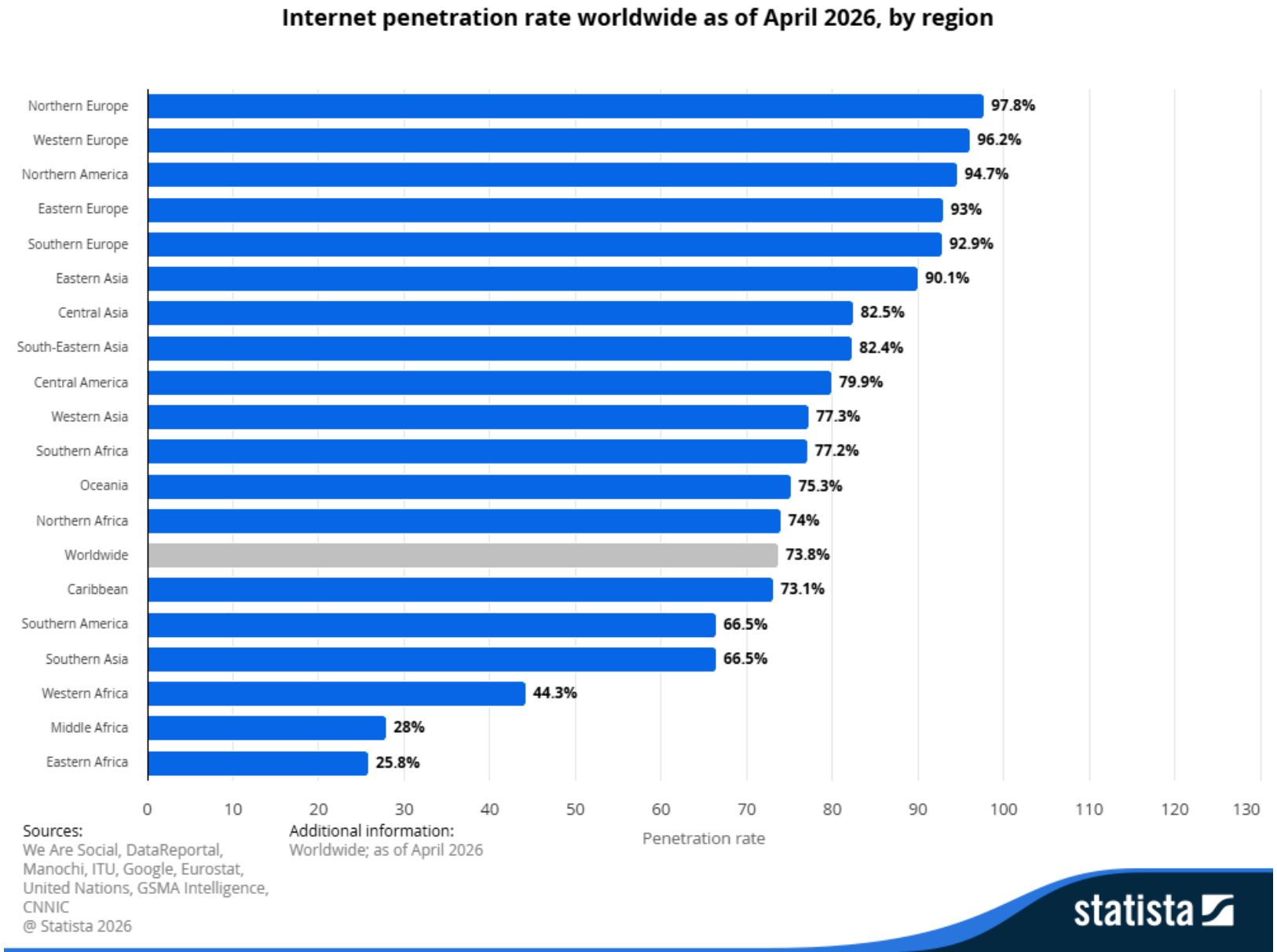
**TECHNOLOGICAL FORCES –** Changes in technology that influence marketing opportunities, create **new product** development opportunities, introduce **new ways** to access target markets through channel distribution and create new forms of applications and platforms.

- ✓ Digital devices
- ✓ Digital platforms
- ✓ Digital data
- ✓ Digital technology

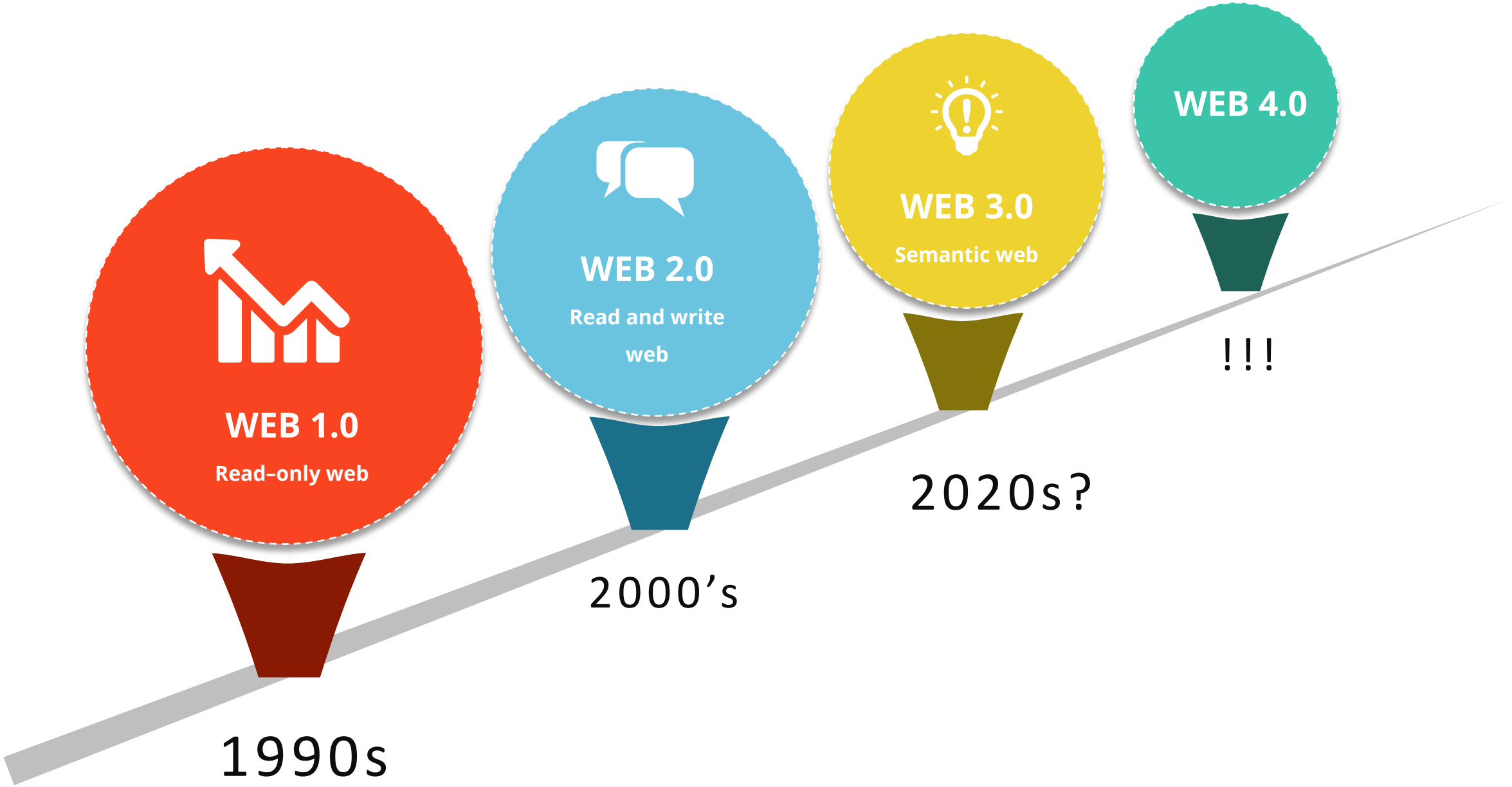


Source: Chaffey et al. (2025)

# Technological forces



# Technological forces – Evolution of the digital age





# WEB 1.0

**The World Wide Web**

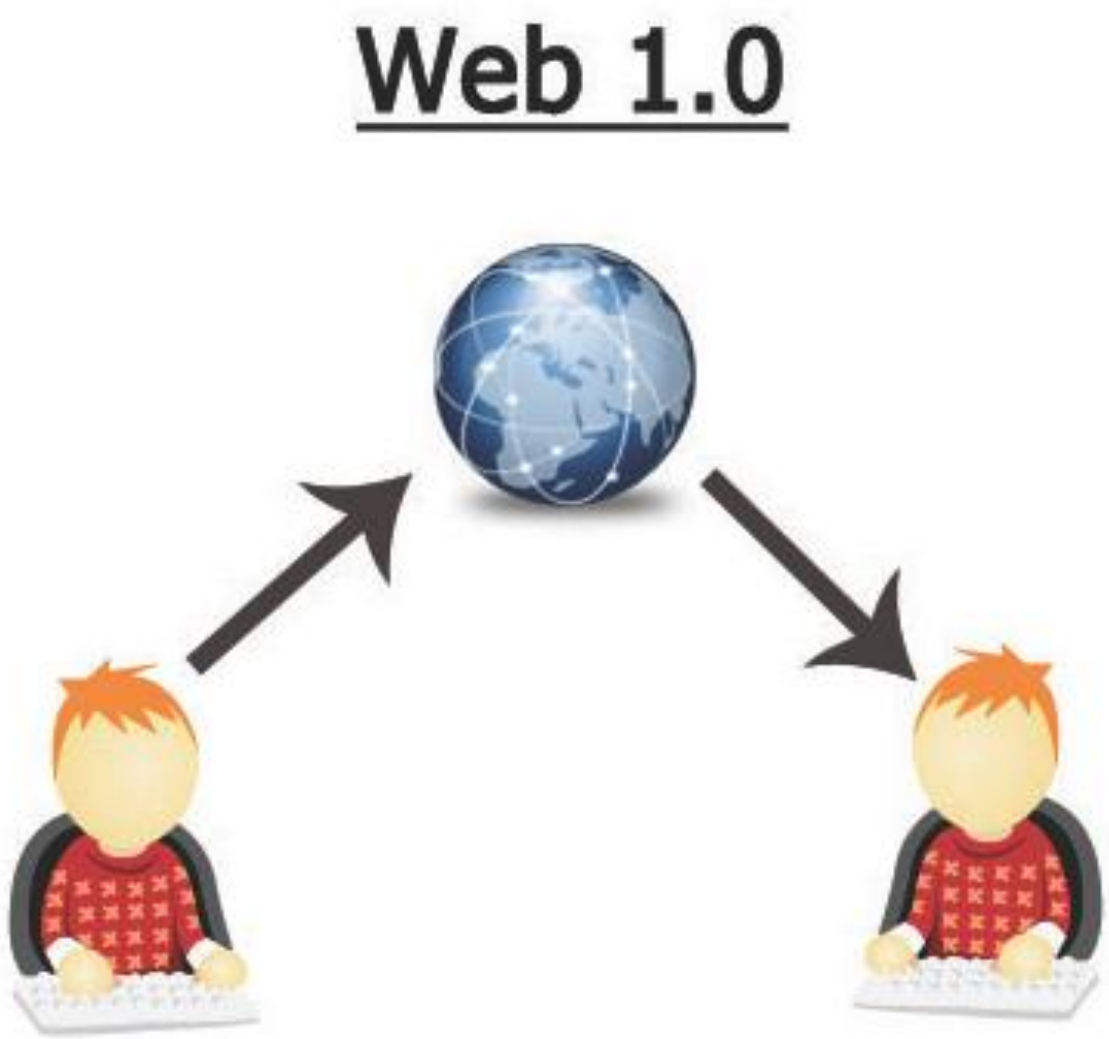



Craigslist (1995)
Webcrawler (1994), Askjeeves (1995),
Yahoo Search (1995), Google (1997)
Flash 1.0 (1996)




**1992**

# Evolution of the digital age – Web 1.0 – Read-only web




- ✓ Read-only web
- ✓ Static web, users could only search for information and read or view the content and had no ability to interact with it or content contribution → One-way experience for users
- ✓ Information portal where users passively receive information without being given the opportunity to post reviews, comments, and feedback.
- ✓ Companies can communicate with and sell to customers (ecommerce).

Source: Palmatier and Steinhoff (2019)



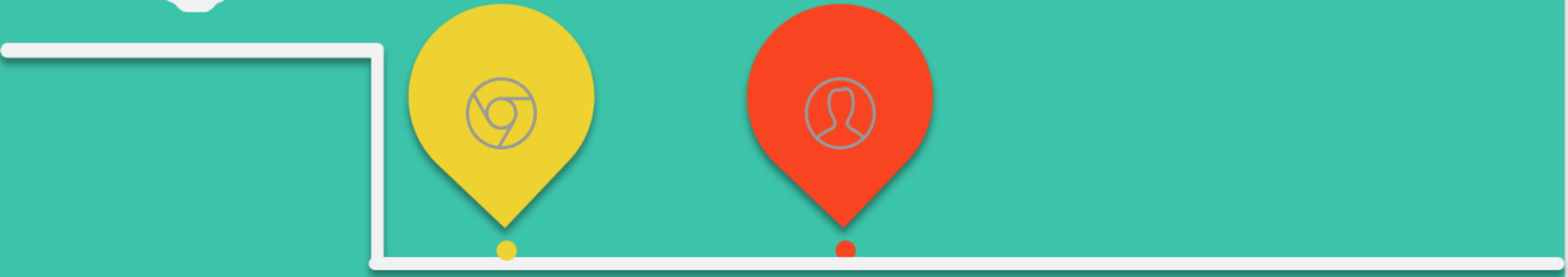
Google launches keyword advertising (2000)

Wikipedia (2001)

mySpace, Second Life (2003)

## WEB 2.0

Facebook goes public (2004)

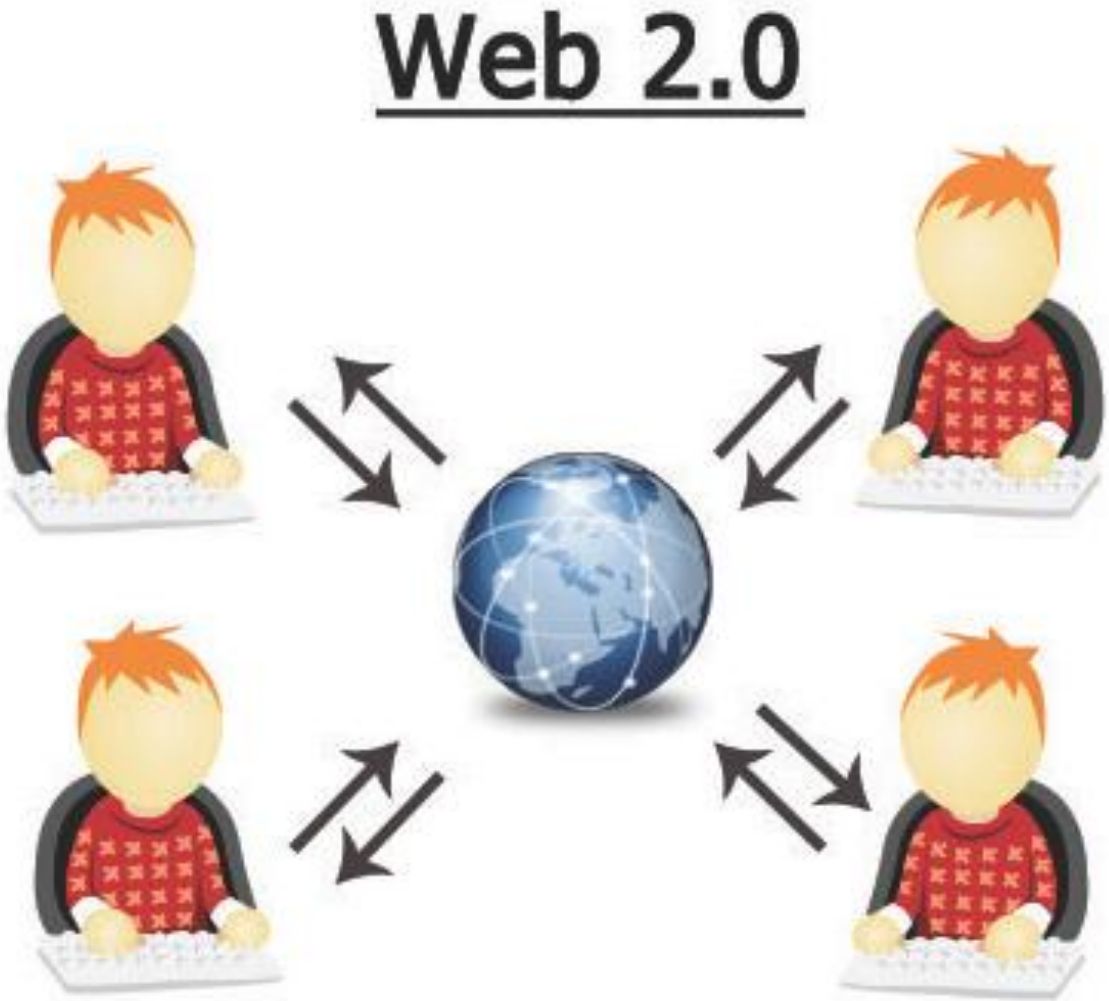


2000

2004

# Evolution of the digital age – Web 2.0 – Read & write web

- Read and write web
- Dynamic content
- Interactive, dynamic, collaborative, participative, information sharing. Bilateral communication. Unlike Web 1.0, Web 2.0 facilitates interaction between web users and websites.
- User-generated content, shift in the balance of power between companies and customers
- Technological advancements: Social media (Youtube, Facebook)




Source: Palmatier and Steinhoff (2019)



**NEWSFLASH:**
Jobs introduced the iPhone in 2007 after the new iPod



Facebook goes public (2004)







2004

2007

# Some salient moments



**The Behemoths**
Spotify (2011)
Uber (2012)
Nest (2011)
Instagram (2010)
TikTok (2019)
Tesla [goes public] (2010)

IOT?
AR?
Blockchain?
Big Data?
Crypto?
Machine Learning?

Web 3.0

2010 -

?

Now

# Evolution of the digital age – Web 3.0 – Semantic web




- Semantic web (read, write, execute)
- Dynamic applications, interactive services, machine-to-machine interaction.
- Machines and devices can mimic human minds and intelligently generate and distribute useful content tailored to users' needs.
- Personalised and relevant experience for the user.
- Customer behaviour is more transparent and traceable. Thus, they may receive more customised communications and offers but there are privacy concerns.
- Technological advancements: Internet of Things, big data, artificial intelligence

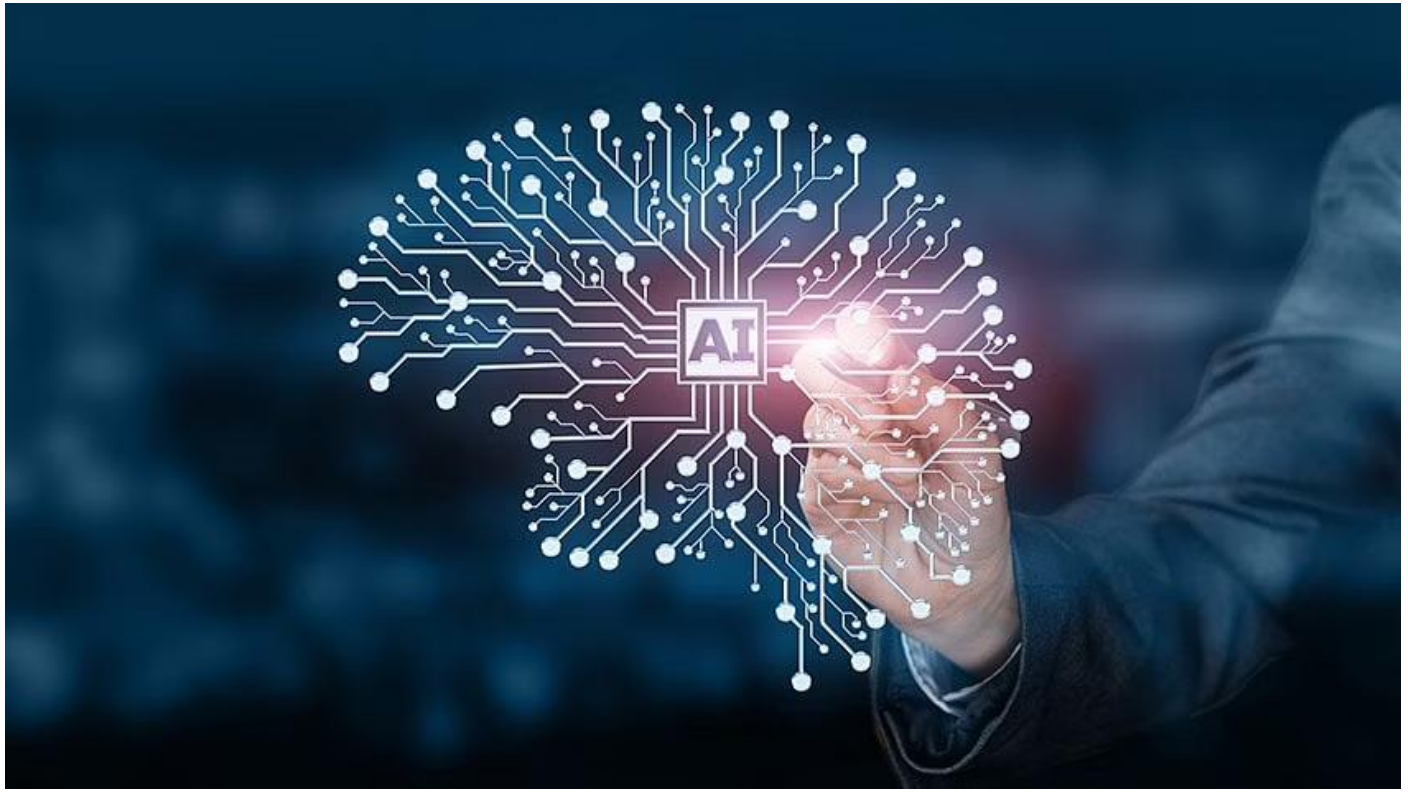
Source: Palmatier and Steinhoff (2019)

# Technological forces

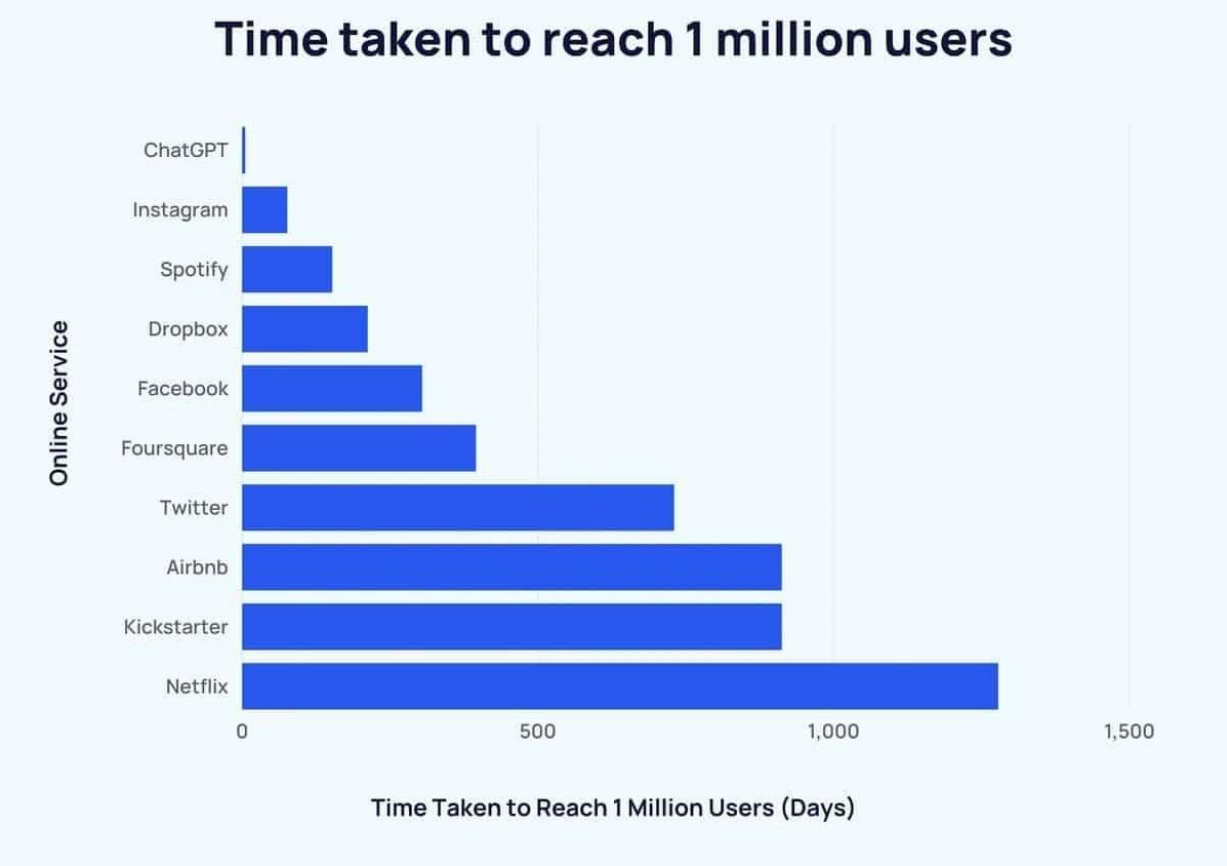
The technological environment is the most dramatic force in changing the marketplace.

- Artificial intelligence
- Big data and data analytics
- Blockchain
- Internet of things
- Virtual and augmented reality



# Technological forces



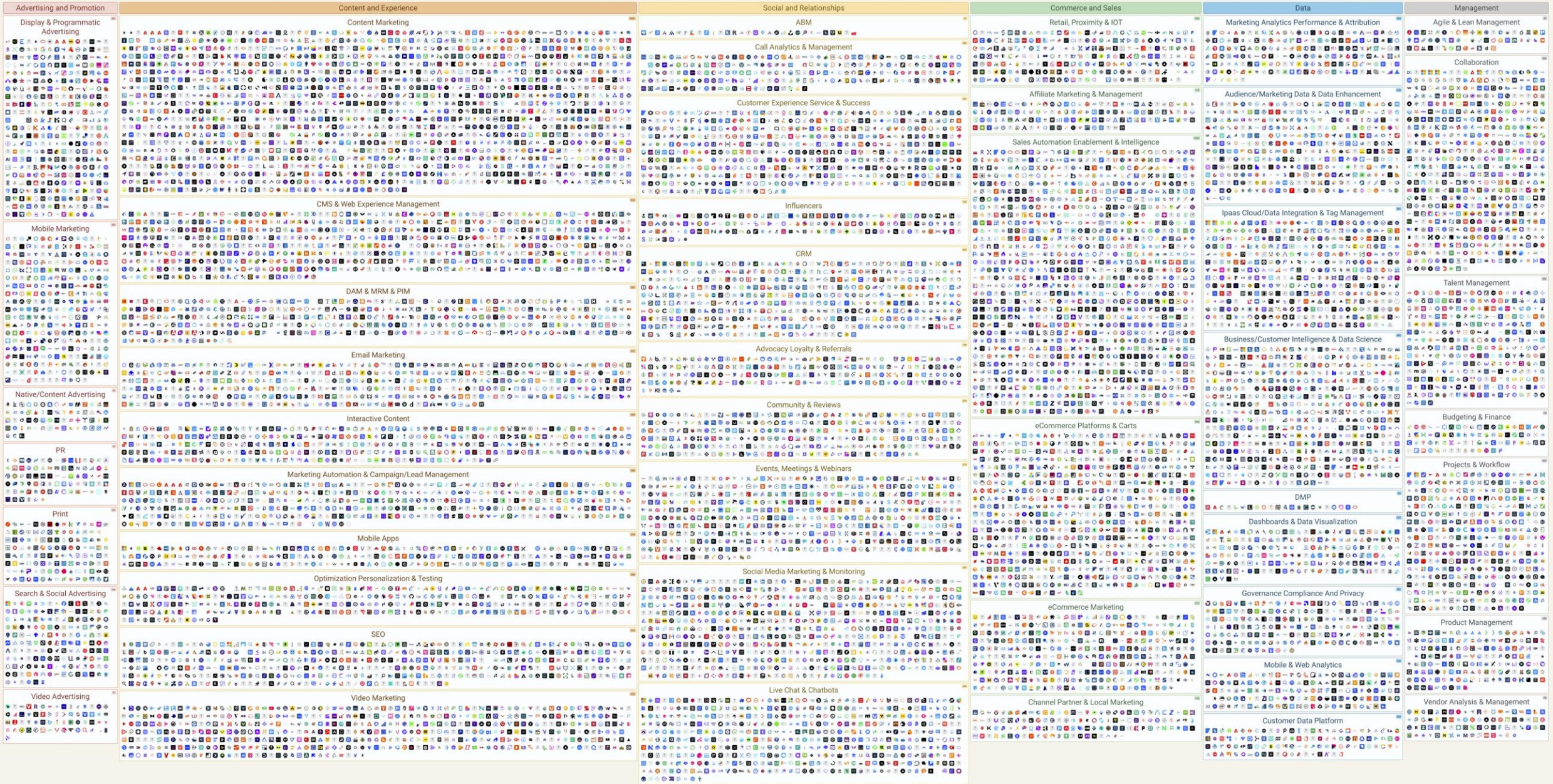




*Time taken to reach one million users — new technologies now spread faster than ever.*

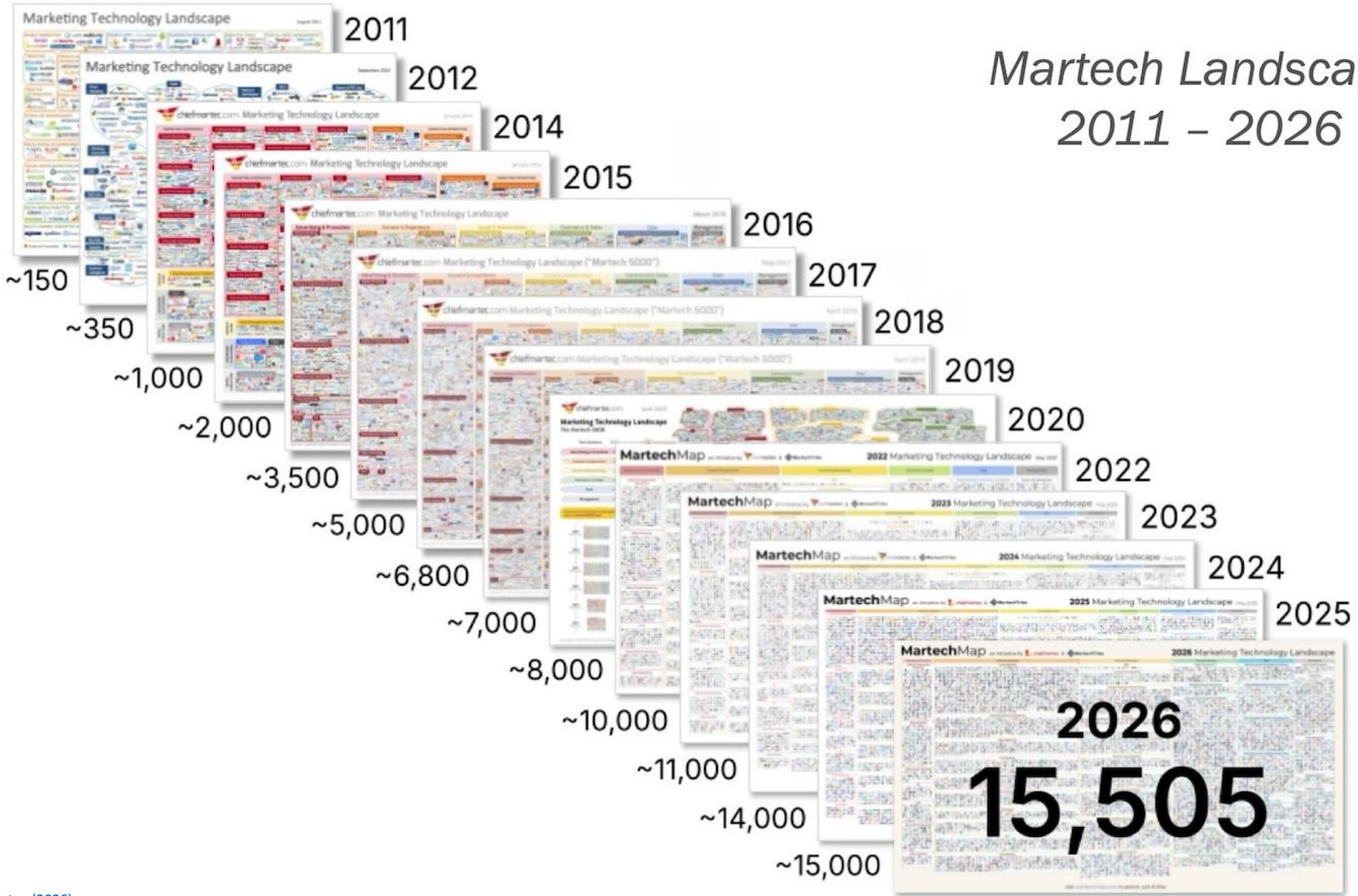
# MartechMap an initiative by chiefmartec & MartechTribe

# 2026 Marketing Technology Landscape



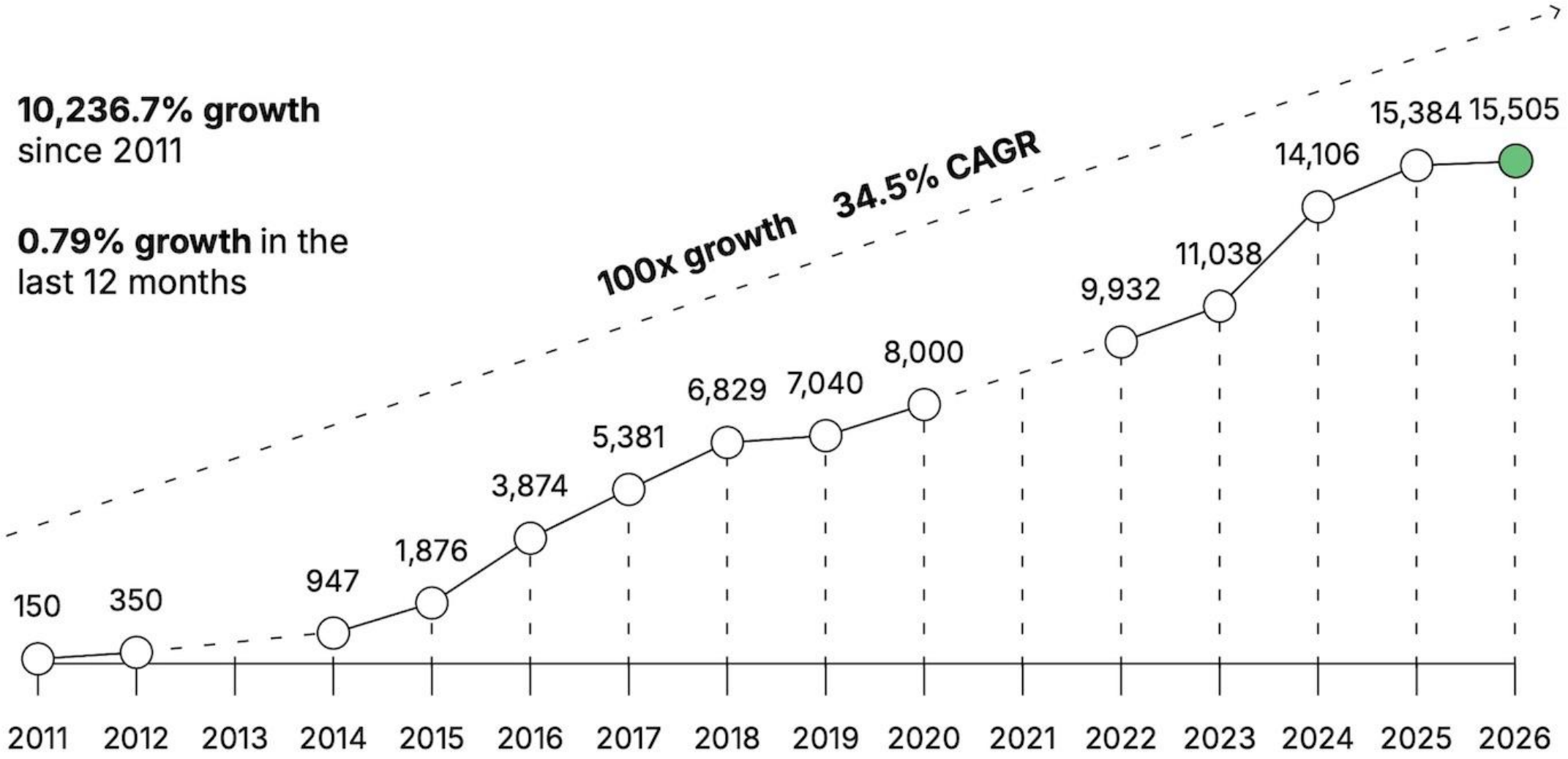

*visit martechmap.com to search, sort & filter*

# *Martech Landscape 2011 – 2026*




Source: Chiefmartec (2026)

# Technological forces - The marketing technology landscape




Source: Chiefmartec (2026)

# Legal forces

**LEGAL FORCES**
Laws and ethical guidelines seek to safeguard individuals' rights to privacy and businesses' rights to free trade



Source: Chaffey et al. (2025)

# Legal forces – Laws that control digital marketing

| Legal issue | Digital marketing activities affected |
|---|---|
| 1 Data protection and privacy law | Collection, storage, usage and deletion of personal information directly through data capture on forms and indirectly through tracking behaviour through web analytics<br>Email marketing and SMS mobile marketing<br>Personalisation based on data collected to deliver more relevant product offers on a website or via an ad or email<br>Use of viral marketing to encourage transmission of marketing messages between consumers<br>Use of cookies and other techniques for recommending content and tracking on site<br>Use of cookies or other fingerprinting technology for tracking between sites, for example for advertising networks<br>Use of digital assets installed on a user's PC for marketing purposes, e.g. toolbars or other downloadable utilities sometimes referred to as 'malware' |
| 2 Disability and discrimination law | Accessibility of content, such as images for the visually impaired, within different digital environments:<br>• website<br>• email<br>• mobile<br>• social media<br>• IPTV<br>Accessibility affecting other forms of disability including hearing difficulties and motor impairment |

Source: Chaffey et al. (2025, p. 86)

# Legal forces – Laws that control digital marketing

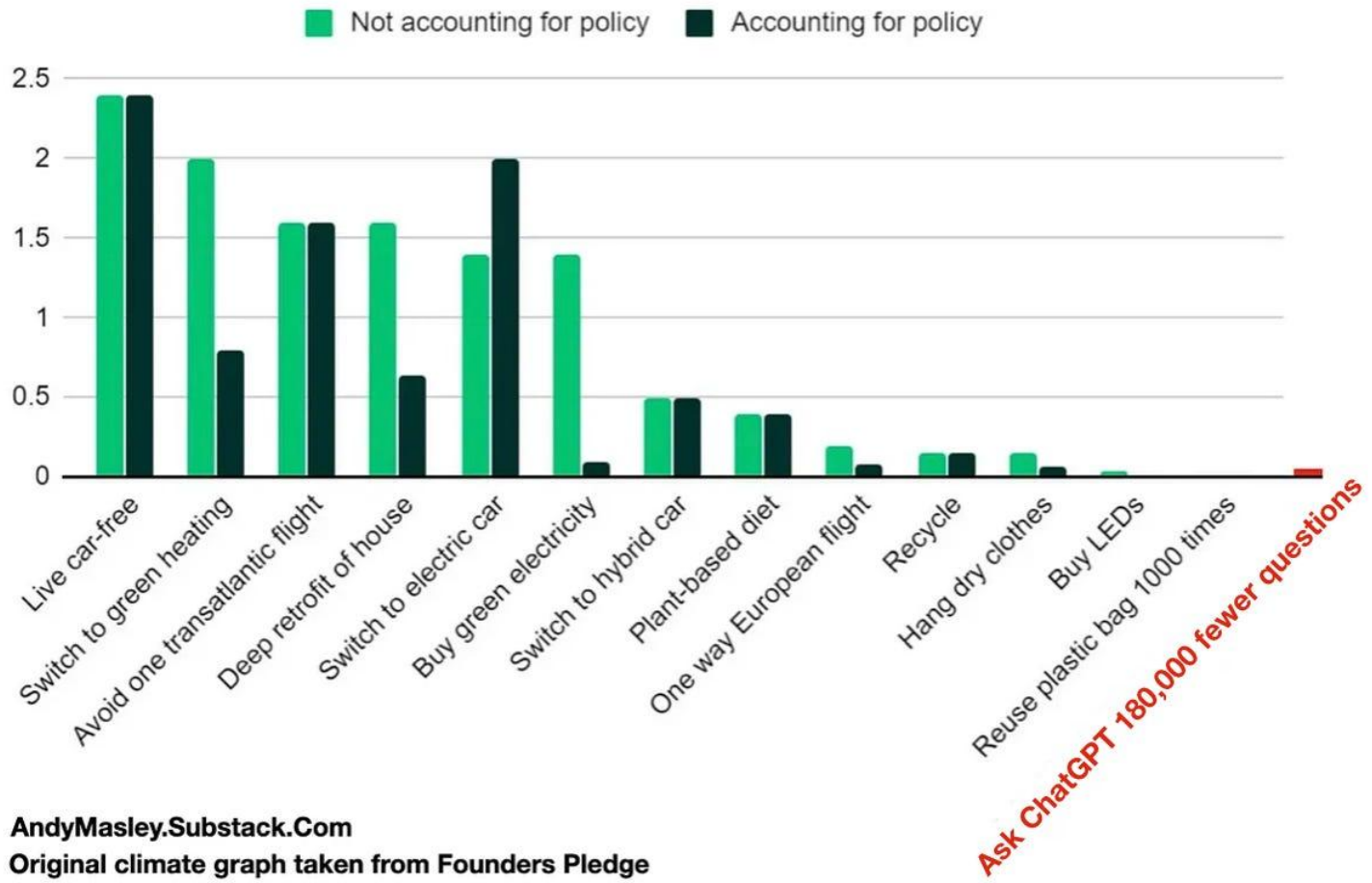
| Legal issue | Digital marketing activities affected |
|---|---|
| 3 Brand and trademark protection | Use of trademarks and brand names within:<br>• domain names<br>• content on site (for search engine optimisation)<br>• natural search results<br>• paid search advertising campaigns (e.g. Google Ads)<br>• representation of a brand on third-party sites including partners, publishers and social networks<br>• defamation of employees |
| 4 Intellectual property rights | Protection of digital assets such as text content, images, audio and sounds through digital rights management (DRM) |
| 5 Contract and distance-selling law | Validity of electronic contracts relevant to:<br>• cancellations<br>• returns<br>• errors in pricing<br>• distance-selling law<br>• international taxation issues where the e-commerce service provider is under a different tax regime to the purchaser |
| 6 Online advertising law | Similar issues to traditional media:<br>• claims about the offer<br>• use of endorsements, e.g. celebrity endorsements in social media and by vloggers<br>• causing offence (e.g. viral marketing) |

Source: Chaffey et al. (2025, p. 86)

# Environmental forces – Sustainability problems with data and AI

## Carbon footprint

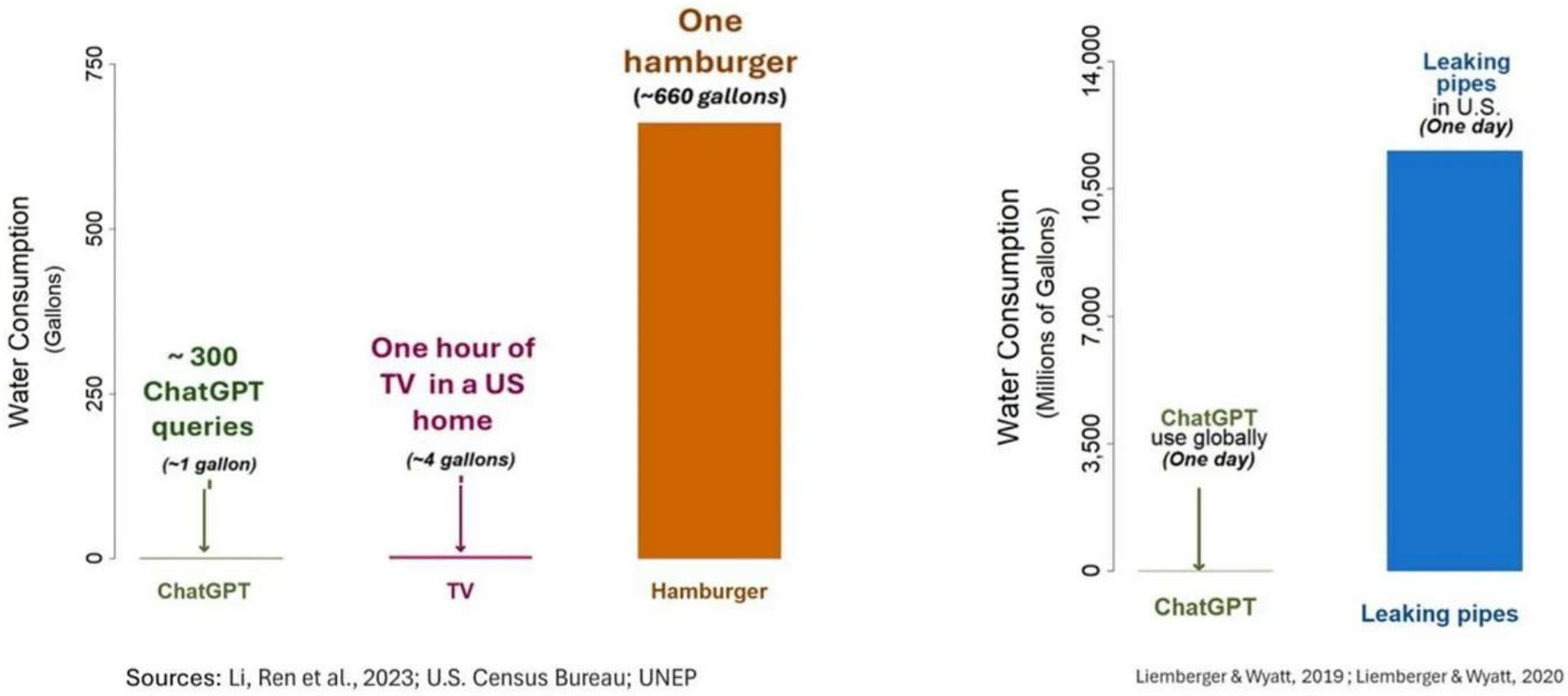
***Figure 4.*** Tonnes of $CO_2$ avoided by selected personal lifestyle decisions accounting for government policy




**Source:** Masley (2025) (Using ChatGPT is not bad for the environment); Ritchie (2025) What's the carbon footprint of using ChatGPT

# Environmental forces – Sustainability problems with data and AI

## Water footprint




**Source:** Andy Masley (Using ChatGPT is not bad for the environment)

# Environmental forces – Is e-commerce sustainable?



# Learning Outcomes - Recap

Now, you should be familiar with the following concepts:

- Situation analysis
- Microenvironmental forces
- Macroenvironmental forces
- Web 1.0 vs Web 2.0 vs Web 3.0
- Implications of technology on the digital marketing landscape

# Seminar 2:

# Opportunities and Threats

## Next week's lecture…

# Segmentation, Targeting & Positioning in the Digital Age